Does Delaware Law Still Improve Firm Value?

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Abstract

Delaware law appears to no longer improve firm value. The large valuation (Tobin's q) premium benefitting Delaware firms in the 1990s disappeared in the early 2000s, coinciding with the 2002 Sarbanes–Oxley Act (SOX). Public salience of the Delaware Court of Chancery declined on a similar timeline, and Delaware firms experienced significant negative abnormal returns around SOX enactment. The premium decline is concentrated in firms with the weakest substitutes for Delaware law, consistent with SOX federalizing governance standards that were formerly stronger for Delaware firms. Finally, the recent "DExit" departures from Delaware of eighteen firms evidence no ensuing change in firm value.

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1 Introduction

Does Delaware law still improve firm value? Roughly seventy percent of US public corporations are incorporated in Delaware, a share that has risen over the past two decades (Figure 1). Historically, Delaware maintained this dominant incorporation share by offering a strong body of stable precedent and a prominent, specialized Chancery Court (Romano, 1985; Goshen, Stein, 2024). In the past, this institutional advantage translated into firm value: Delaware-incorporated firms traded at a Tobin's q premium over otherwise-comparable firms incorporated elsewhere (Daines, 2001). Yet, on January 30, 2024, amidst a public dispute with the Delaware Court of Chancery, Tesla CEO Elon Musk posted: "Never incorporate your company in the state of Delaware" (Musk, 2024). Since then, seventeen US public companies (including Tesla and Dropbox) have announced or completed reincorporations away from the state. Collectively, these "DExit" firms represent more than $1,962 billion in market capitalization, with practitioner and academic commentary suggesting that additional public firms are considering similar moves (Khoo, Tallarita, 2025; Kahan, Rock, 2025). The traction of the DExit movement, together with substantial changes to the corporate governance environment in the past quarter century, suggests that the relative value of Delaware law may have changed since Daines (2001). In this paper, I show that Delaware firms no longer benefit from a valuation premium, and provide evidence that this change is largely driven by the federalization of corporate law under the Sarbanes–Oxley Act (SOX) of 2002.

Following Daines (2001), I estimate the Delaware premium over the 1981–1996 period by regressing Tobin's q onto a Delaware-incorporation indicator variable and a set of controls. I estimate a Delaware coefficient of .08, broadly consistent with Daines (2001)'s published estimate of +0.07 and implying approximately a 5–6% premium in market capitalization for the median firm. Expanding this panel to the present day reveals a striking pattern: the Delaware premium peaked in the late 1990s, declined sharply in the early 2000s, and has been near-zero ever since. These results continue to hold after accounting for intangible-capital, following Peters and Taylor (2017). Daines (2001) also found that Delaware firms were significantly more likely to receive takeover bids and to be acquired, and interpreted this as evidence that Delaware law facilitated merger activity. I show that this advantage too has eroded: Delaware firms' relative propensity to make acquisitions and attract bids declined materially after 2002, mirroring the fall in the valuation premium.

In 2002, the Sarbanes–Oxley Act imposed comprehensive federal disclosure, internal-control, and audit-committee requirements on US public companies (Coates, Srinivasan, 2014; Romano, 2005). If this federal floor substitutes for protections that Delaware corporate law had previously supplied, the Delaware Court of Chancery, the central institution responsible for applying and refining Delaware corporate law, should experience a decline in prominence in the post-SOX period. To test this hypothesis, I introduce two proxies for the Court's salience over time. Google Books Ngram captures the appearance of the phrase "Delaware Court of Chancery" in legal and academic writing, whereas Google Trends captures public attention via search behavior. Both measures show a broad decline which intensifies after SOX and generally tracks the erosion of the Delaware premium. These patterns suggest that Delaware corporate law declined in relative importance after SOX and motivate a more granular approach to identify SOX's contribution to the decline in the Delaware premium.

To that end, I conduct an event study around several dates relevant to SOX's enactment. If SOX effectively federalized governance provisions that were previously a benefit of incorporation in Delaware, then Delaware firms should underperform around the key events that made this substantial federal reform more likely. Following the late-2001 disclosure of accounting fraud at Enron, discussion intensified around then-controversial legislation to federalize a number of corporate governance provisions. A comparatively muted version of this legislation passed the House of Representatives on April 24, 2002. However, the sequence of events that made strengthened legislation a reality unfolded over roughly five weeks, beginning with WorldCom's disclosure of a $3.8 billion accounting fraud on June 25, 2002 and ending with President George W. Bush signing the Sarbanes–Oxley Act into law on July 30 (the Senate having passed it 97–0 on July 15). Over this period, sweeping federal governance reforms went from politically uncertain to enacted law (Hamburger et al., 2002; Chhaochharia, Grinstein, 2007). Because the probability of SOX's enactment changed dramatically over a matter of weeks rather than years, this episode provides a useful setting to test whether the timing of the Delaware premium's erosion can be tied to the progression of the legislation itself.

Over the five weeks between the WorldCom disclosure and SOX's signing into law, Delaware firms experienced cumulative abnormal returns of -1.72 percentage points and continued to underperform through October 2002, before stabilizing near -3.82 percentage points through the end of the year. Compared to the five percent market capitalization premium estimated by Daines (2001), this difference in returns indicates that the bulk of the Delaware premium was eliminated in the lead-up and immediate aftermath of SOX's passage. That Delaware firms underperformed precisely when stringent federal legislation went from unlikely to signed law is difficult to reconcile with non-SOX confounding explanations. By contrast, neither the Enron disclosure nor the House passage of the weaker Oxley bill produced any divergence between Delaware and non-Delaware firms, suggesting that investors responded specifically to the prospect of a far-reaching federal governance regime, consistent with prior literature (Li et al., 2008; Jain, Rezaee, 2006).

Next I examine the heterogeneity of the Delaware premium's decline across firms. If SOX installed a federal governance floor that substituted for the value-add of Delaware's legal environment, then firms with weaker private substitutes for Delaware corporate law (or firms with worse baseline governance, more generally) should experience a steeper post-SOX decline. Long-run triple-difference designs across a battery of variables support that prediction. The Delaware premium falls disproportionately among (i) small firms, which have fewer private alternatives to Delaware's legal protections; (ii) firms listed off the major U.S. exchanges, where exchange-mandated governance requirements are thinner; and (iii) firms whose internal controls were later exposed as deficient by Section 404 audits. The

Delaware premium fell most where governance was thinnest, as one would expect if SOX reduced the marginal value of Delaware incorporation.

Finally, I use the recent DExit departures to test directly whether Delaware incorporation commands a valuation premium today. I perform a daily event-study around each DExit reincorporation proposal since 2023, and find no evidence that the average departure leads to negative abnormal returns. A natural limitation of this test is that it is low-powered, consisting of only 18 firms, and suffers from self-selection. Therefore, I also employ a lower frequency test using synthetic controls, a method specifically designed to overcome these problems (Abadie, Gardeazabal, 2003; Abadie, Diamond, et al., 2010). For each reincorporating firm, I construct a synthetic portfolio of Delaware firms from the same industry that closely matches its pre-reincorporation characteristics. Comparing the reincorporating firms with their synthetic counterfactuals, I find no evidence that reincorporation changes Tobin's q, on average.

This paper makes several contributions. First, it extends and reinterprets the empirical record on the Delaware premium. Subramanian (2004) argued that the premium had become nonexistent by the late 1990s and was concentrated in small firms; Rhee (2023) confirms its absence from 2015–2019. My extension suggests a different reading; though the premium slowly decreased during the late 1990s, it recovered in 1999 and remained large until the summer of 2002 when it abruptly declined. The timing of the decline I report is therefore most consistent with a SOX effect. My evidence also suggests that the Delaware premium was concentrated among small firms because they lacked the private governance substitutes available to larger companies and therefore had the most to gain from Delaware's governance protections; correspondingly, the premium declined most sharply among those firms following the enactment of SOX.

Second, the paper contributes to the SOX literature (e.g., Zhang (2007), Iliev (2010)) which has largely focused on the direct costs and benefits to public firms of the Act's governance and disclosure requirements. This paper documents a previously unexplored consequence of federal governance regulation: beyond affecting firms directly, SOX also altered the relative attractiveness of competing incorporation regimes. The evidence suggests that federal governance mandates can substitute for state-level corporate law, reducing the marginal value of institutions that previously supplied unique protections (similar to Greenstone et al. (2006) in the context of the 1964 Securities Acts Amendments).

Third, the findings add nuance to the debate over state competition for corporate charters. The evidence corroborates the race-to-the-top view of the pre-SOX world, under which states compete for incorporations by supplying governance protections valued by investors (Winter, 1977; Romano, 1985). Delaware offered substantive governance protections that investors valued, and the Delaware premium disappeared when many of those protections were federalized. However, Delaware's recent response to DExit, relaxing minority-shareholder protections to retain corporate clients (Delaware S.B. 21, 2025), suggests that race-to-the-bottom dynamics (Cary, 1974), under which states compete by accommodating managerial preferences, may be more relevant in the post-SOX world. Taken together, the results suggest that whether states compete by protecting investors or by accommodating managerial preferences may depend on the scope available for states to differentiate their corporate law.

These contributions are timely. The recent DExit wave and Senate Bill 21 reflect renewed disputes over state corporate law and the governance protections associated with Delaware incorporation. These developments have occurred against a long backdrop in which the value of Delaware incorporation has eroded following SOX's federalization of key governance protections. Because franchise taxes and fees account for a substantial share of Delaware's revenue (Kahan, Kamar, 2002), trends in the state charter environment have implications not only for firms, but also for the states' fiscal positions.

The remainder of the paper is organized as follows. Section 2 provides background information on Delaware's incorporation advantage, SOX, and DExit. Section 3 describes the data. Section 4 presents the results. Section 5 concludes.

2 Institutional Background

2.1 Delaware Corporate Law Franchise

Roughly seventy percent of all publicly traded U.S. companies (Figure 1) are incorporated in Delaware, a share that has risen over time. Delaware earns roughly a quarter of its annual revenue from incorporation franchise taxes and fees (Kahan, Kamar, 2002), giving it a large fiscal incentive to maintain its dominant position in the competition for corporate charters.

The academic literature frames Delaware's dominance through two competing hypotheses. Cary (1974) argued that interstate competition for corporate charters is a race to the bottom: states bid for incorporation revenue by offering rules that benefit managers at the expense of shareholders, and Delaware wins because it is the most permissive. Winter (1977) and Romano (1985) offered the opposite view, that competition is a race to the top: firms choose their state of incorporation to signal governance quality to investors, and Delaware wins because it supplies the most valuable corporate-law product. The Daines (2001) premium is consistent with the race-to-the-top view: investors paid more for firms that had credibly committed to high-quality governance by selecting a demanding corporate-law regime.

The enforcement of Delaware's corporate-law is the responsibility of the state's Court of Chancery, an equity court with no jury that has heard corporate disputes since 1792 (Delaware Court of Chancery, 2024). The Court's institutional features are difficult for competing states to replicate quickly: a bench of full-time judicial officers with deep expertise in corporate law, a procedural tradition that facilitates rapid resolution, and more than two centuries of accumulated precedent that gives boards and lawyers a fairly reliable map of court behavior (Romano, 1985; Goshen, Stein, 2024). Delaware law is often described as "predictable" in the sense that the dense body of doctrine reduces the legal uncertainty embedded in significant corporate decisions.

Delaware's governance value may operate through several doctrinal channels. The *Care-*

mark line addresses director oversight and disclosure duties; the *Revlon* and *Unocal* lines govern control transactions. Daines (2001) found that Delaware firms were not only valued at a premium but more likely to be acquired and more active as acquirers, suggesting that at least part of the premium reflected expectations of more efficient future control transactions. As discussed in the next section (Section 2.2), SOX would touch several of these same doctrinal areas, raising the question of whether federal governance mandates displaced the value that Delaware's court-developed rules had previously supplied.

2.2 SOX and the federalization of corporate governance

For most of the twentieth century, the substantive content of U.S. corporate governance was a matter of state law. The federal securities statutes of 1933 and 1934 regulated disclosure, but the underlying issues of fiduciary duty, board composition, internal control, and the remediation of managerial misconduct were left to the law of the state of incorporation (Coates, Srinivasan, 2014).

The Sarbanes–Oxley Act of 2002 (Pub. L. 107-204), enacted in the wake of Enron's collapse in late 2001 and WorldCom's $3.8 billion accounting fraud in June 2002, materially shifted the corporate governance environment by imposing a comprehensive set of governance requirements in areas traditionally governed by state corporate law (Coates, Srinivasan, 2014; Romano, 2005). The four most economically significant provisions and their relationship to Delaware doctrine are summarized in Table 1. Some of the provisions overlap with existing Delaware doctrine more than others, but all four provisions reduced the extent to which firms relied on Delaware's Court of Chancery as their primary source of governance protection.

§§ 302 and 404 both federalize duties that Delaware courts had previously enforced through fiduciary-duty litigation. The *Caremark* line already required directors to maintain adequate oversight systems and accurate disclosures; §§ 302 and 404 re-enacted those obligations as personal, criminal-liability-backed federal mandates enforceable by the SEC rather than by derivative plaintiffs in Chancery. On the other hand, § 301 filled a genuine gap, as Delaware had imposed no mandatory audit-committee independence requirement. § 806 created whistleblower protections for employees of publicly traded firms who report securities fraud, including anti-retaliation remedies and a federal cause of action. Delaware corporate law did not provide a comparable employee-facing enforcement mechanism, instead relying on shareholder-initiated tools such as derivative suits.

2.3 The recent DExit episode

In January 2024, Chancellor Kathaleen McCormick of the Court of Chancery issued a 200-page opinion in *Tornetta v. Musk* rescinding Elon Musk's 2018 compensation package at Tesla, valued at approximately $56 billion (McCormick, 2024). The ruling applied Delaware's entire-fairness standard on the grounds that Musk was a controlling stockholder with respect to his own pay negotiation, and that the board members who approved the plan lacked adequate independence. Within days, Musk posted publicly that firms should "never incorporate in the state of Delaware" (Musk, 2024), announced plans to move Tesla to Texas, and called a shareholder vote to ratify the voided compensation.

The episode catalyzed a wave of reincorporations (Kahan, Rock, 2025; Khoo, Tallarita, 2025). Table 2 and Figure 2 document the full cohort: as of early 2026, 18 public companies had proposed and completed the move, most to Nevada or Texas. Collectively the cohort represented over $1,964 billion in market capitalization, concentrated in technology and financial-services firms with concentrated ownership structures. Delaware's legislature responded in March 2025 with Senate Bill 21, the most significant amendment to the Delaware General Corporation Law in decades, creating statutory safe harbors for controlling-stockholder transactions and narrowing shareholder inspection rights (Delaware S.B. 21, 2025). The Delaware Supreme Court reversed the Tornetta rescission in December 2025 (Delaware Supreme Court, 2025) and upheld SB 21's constitutionality in February 2026. Notably, the premium documented in Section 4 had already disappeared around 2002, two decades before these events.

3 Data

3.1 Sample construction

The primary data source is Compustat, covering fiscal years 1971 through 2025. I extract all firm-years with nonmissing total assets, net sales, share price, shares outstanding, common equity, and state of incorporation. Following Daines (2001), I exclude regulated utilities (SIC 4900–4999) and financial firms (SIC 6000–6999) and require each firm to appear in at least five fiscal years. A natural concern is that the late-1990s Delaware premium spike is an artifact of the dot-com bubble. I therefore exclude firms whose four-digit SIC code falls within a technology sector: computer hardware (3571–3572, 3576–3579), telecom equipment and semiconductors (3661, 3663, 3669, 3674), telecom services (4812–4813, 4899), computer services and software (7370–7375, 7378–7379), and e-retail (5961). The main results are similar with these firms included.

I use EDGAR-derived state-of-incorporation flags, constructed by parsing the most recent DEF 14A and 10-K headers, for each firm where this data is available. Firms with disparate Compustat and EDGAR incorporation states are assigned the EDGAR value. The resulting annual panel contains 151,462 firm-year observations.

3.2 Measuring firm value

The principal outcome variable is Tobin's q. For the Daines (2001) replication I use the standard formulation (e.g., (Kaplan, Zingales, 1997)):

$$Q_{it} = \frac{\text{MVE}_{it} + \text{AT}_{it} - \text{CEQ}_{it} - \text{DT}_{it}}{\text{AT}_{it}},$$

where MVE is market equity (shares outstanding times fiscal-year-end price), AT is book total assets, CEQ is book common equity, and DT is balance-sheet deferred taxes. After replicating Daines (2001), I perform the remaining analysis using the intangible-adjusted total q of Peters and Taylor (2017). I trim q at the 1st and 99th percentiles within each fiscal year and winsorize the controls at the 5th and 95th percentiles.

3.3 Supplementary data

Daily stock returns come from the CRSP daily stock file and are used for event studies around both SOX and DExit. For some very recent IPO firms, daily return data come from Yahoo! Finance because they are not available in CRSP. M&A data are from SDC Platinum (1985–2021). I construct target and acquirer indicator variables that are equal to one if the firm is a target or acquirer, respectively, in a given year. I include all control-changing deals with at least 50% of shares acquired. SOX internal-control data are from Audit Analytics, which records material-weakness disclosures and audit fees from Section 404 filings beginning in fiscal year 2004. I construct public-salience proxies from the Google Books Ngram Corpus (annual mention frequency of “Delaware Court of Chancery” and “Delaware Chancery” in the English-language corpus) and Google Trends (monthly and weekly search interest).

4 Results

In this section I present the results of the paper. Section 4.1 documents that the Daines (2001) results, that Delaware firms have a larger Tobin’s q and engage in more merger activity, has decreased over time, especially since SOX. Section 4.2 shows that the salience of the Delaware Court of Chancery, the institution through which Delaware’s governance protections are delivered and refined, declined in the post-SOX era. Section 4.3 uses an event-study approach to show that the premium’s decline was concentrated around the window of SOX’s enactment, consistent with SOX being a major cause of the decline. Section 4.4 shows that the premium declined more for firms that were more likely to benefit from Delaware’s governance protections pre-SOX.

4.1 The Erosion of the Delaware Premium

Table 3 replicates the main result of Daines (2001). Following his specification, I pool observations over the 1981–1996 sample and estimate

$$q_{it} = \alpha + \beta \,\mathrm{Delaware}_{it} + \gamma \mathbf{X}_{it} + \delta_j + \tau_t + \varepsilon_{it} \tag{1}$$

where q_{it} is Tobin's q, $\mathrm{Delaware}_{it}$ is an indicator equal to one if firm i is incorporated in Delaware in year t, $\mathbf{X}_{it}$ contains log sales, R&D intensity, and current and lagged return on assets, δ_j are two-digit SIC industry fixed effects, and τ_t are year fixed effects. I obtain an estimated Delaware coefficient of $\hat{\beta} = .08$, statistically significant and close to Daines's published estimate.

Standard Tobin's q understates the true asset base of intangible-intensive firms because investment in R&D and other intangibles is expensed rather than reflected on the balance sheet (Peters, Taylor, 2017). If Delaware-incorporated firms differ systematically from their non-Delaware peers in intangible intensity, then the Daines (2001) results could reflect measurement error rather than a true valuation premium. I address this concern by re-estimating equation (1) using the intangible-adjusted q of Peters and Taylor (2017), which adds the capitalized value of intangibles to the ratio's denominator. As shown in Column 3, the resulting Delaware coefficient remains statistically significant at .06. In light of the Peters and Taylor (2017) critique, I use the intangible-adjusted total q throughout the rest of the paper.

To trace how the premium evolved over the full sample period, I estimate

$$q_{it} = \alpha_t + \beta_t \,\mathrm{Delaware}_{it} + \gamma \mathbf{X}_{it} + \delta_j + \varepsilon_{it} \tag{2}$$

separately for each fiscal year t over the full 1981–2025 panel. Figure 3 plots $\hat{\beta}_t$. Panel (a) shows the per-year 1/99-trimmed specification (the baseline throughout); panel (b) the industry-adjusted specification, which subtracts the three-digit SIC mean q; and panel (c) the per-year 5/95-winsorized specification. For each specification, the premium follows a distinctive arc: stable and significant through the 1980s and early 1990s, expanding sharply through the late 1990s, then declining steadily through the early 2000s and effectively zero thereafter. The late-1990s expansion is not an artifact of the dot-com bubble, as technology and internet firms are excluded throughout (Section 3). Table 4 presents the coefficients numerically.

Daines (2001) argued that Delaware law created value in part through a transactional channel: by lowering the costs of efficient control transfers, Delaware incorporation made firms more attractive as targets and more active as acquirers. Figure 4 estimates a version of equation (1) that replaces q_{it} with an indicator variable equal to one if firm i is a takeover target or acquirer in year t, plotting the per-year Delaware coefficient for each alongside the q-premium series from Figure 3. The target propensity series declines only modestly over the sample. By contrast, the acquirer series closely mirrors the q premium, remaining positive through the 1990s before turning negative in the mid-2000s and remaining so thereafter. These time series patterns suggest that both the valuation premium, and the transactional channel Daines identified as its source, eroded over a similar timeline.

Both the Delaware premium and the M&A activity indicators show a pattern of decline near 2002, coinciding with the enactment of SOX. I formally test for whether SOX coincides with a structural break by estimating a pooled difference-in-differences that compares Delaware and non-Delaware firms before and after 2002,

$$y_{it} = \alpha + \beta_1 \,\text{Delaware}_{it} + \beta_2 \,\text{Post}_t + \beta_3 \,(\text{Delaware}_{it} \times \text{Post}_t) + \gamma \mathbf{X}_{it} + \delta_j + \varepsilon_{it} \tag{3}$$

where $\text{Post}_t = \mathbf{1}[t > 2002]$ and δ_j are two-digit SIC industry fixed effects. In Table 5 I estimate equation (3) with Tobin's q as the outcome. The coefficient of interest is $\hat{\beta}_3 = -0.08$, confirming that the Delaware premium fell significantly after 2002. In Table 6, I estimate the same regression using M&A activity indicators as the outcome variables. Pre-2002, Delaware firms were +1.60 percentage points more likely to make an acquisition than comparable non-Delaware firms, against a base rate of roughly 22% of firm-years; they were also modestly more likely to be targets (+0.46 percentage points). The coefficient $\hat{\beta}_3$ indicates that both advantages declined after 2002; Delaware firms acquisition propensity declined by -2.82 percentage points more than non-Delaware firms, and their relative likelihood of being a target decreased by -0.50 percentage points. Overall, the difference-in-differences results suggest that the valuation and merger activity gaps between Delaware and non-Delaware firms diminished significantly after 2002. A plausible explanation for this shift is that SOX's federal governance standards substituted for Delaware's, reducing the incremental value of Delaware incorporation and the transactional advantages it conferred. I explore this hypothesis more directly in 4.2, 4.3, and 4.4.

4.2 The Declining Salience of Delaware Chancery

If SOX federalized governance protections that Delaware previously supplied predominantly, one would expect the Delaware Court of Chancery, the institution through which those protections are delivered and refined, to experience a decline in practical prominence over the post-SOX period. I construct two proxies for the Court's salience that operate at different frequencies and capture different audiences. The first is the Google Books Ngram frequency of references to the Court in published text, which captures the Court's prominence in legal and academic writing over the long run. The second is the Google Trends search index for the Court, which captures public attention from a more general audience. Both are composite measures, each summing search indices for the queries "Delaware Court of Chancery" and "Delaware Chancery Court." Summing across these variants reduces sensitivity to how users phrase their searches and gives a more stable signal of underlying interest.

Figure 5 presents the Ngram evidence in three panels. The top panel reproduces the annual Delaware q-premium coefficient from Figure 3 as a reference. The middle panel plots the Delaware Court of Chancery composite Ngram frequency alongside the Ngram frequency for "Sarbanes-Oxley." The contrast is striking: references to the Delaware Court of Chancery in published text rose steadily through the 1980s and 1990s alongside the premium, then flattened and declined after 2002 as references to Sarbanes-Oxley surged. The bottom panel makes this substitution explicit, plotting SOX's share of the combined cumulative Ngram attention across the two bodies of law. SOX's share rises steadily through the 2000s and crosses the 50% mark, indicating that in the post-SOX era the federal governance statute has attracted more cumulative scholarly and legal attention than the Delaware Court it partially supplanted. Across the sample, the annual Delaware Chancery Ngram frequency is positively correlated with the annual Delaware q-premium coefficient (Spearman $\rho = 0.29$; Pearson $r = 0.34$), and the rise of SOX's attention share is negatively correlated with the premium (Spearman $\rho = -0.52$; Pearson $r = -0.43$).

Figure 6 turns to Google Trends, which extends the salience evidence to the present and captures a broader audience. The figure plots the monthly composite search index for the Delaware Court of Chancery from 2004 (the earliest year for which Google Trends data are available) through early 2026. The broad pattern mirrors that of the Ngram figure: search interest is relatively elevated in the early 2000s and declines through the 2010s, consistent with the Court becoming a less salient institution in the everyday landscape of corporate governance as SOX's federal standards matured.

What distinguishes the Google Trends (Figure 6) series from the Ngram (Figure 5) is its behavior since 2022. Although the monthly figure shows reflects a general downward trend, there have been several recent sharp spikes: the filing of *Twitter v. Musk* in Chancery in July 2022, the Court's voiding of Elon Musk's $56 billion Tesla compensation package in January 2024, the signing of SB 21 into law in March 2025, and the Delaware Supreme Court's reversal of the pay ruling in December 2025. The weekly figure (Figure 7) shows the timeline of these episodes in greater detail. Importantly, the nature of this renewed attention is qualitatively different from the attention the Court attracted in its pre-SOX prime. In the 1980s and 1990s, Delaware Court of Chancery drew attention as a value-creating institution.

The spikes of 2022–2025, on the other hand, may reflect the Court under siege: litigation over whether its most prominent rulings would be honored, legislative override of those rulings, and the departure of major firms. These events map directly onto the DExit movement documented in Table 2 and examined in Section 4.5.

Taken together, the Ngram and Trends evidence paints a consistent picture: the Delaware Court of Chancery declined as a salient institution in corporate governance in the years following SOX, and has recently re-entered public attention not as a trusted venue but as a contested one. These patterns are consistent with the SOX-substitution hypothesis, but they are not sufficient to establish it. Any slow-moving legal or institutional trend could in principle produce parallel declines in Court salience and firm valuation; the proxies cannot isolate SOX's causal contribution. The next section turns to an event study designed to disentangle the effects more precisely using daily data.

4.3 Event Study: SOX Enactment and the Delaware Premium

To distinguish the SOX-substitution hypothesis from alternative explanations based on slow-moving economic or legal trends, I examine stock-market reactions around key legislative events. Event studies isolate changes in firm value that occur within narrow windows, making them less susceptible to being confounded by gradual shifts (e.g., in governance practices or investor sentiment). If SOX reduced the incremental value of Delaware incorporation, we should see that Delaware firms underperformed non-Delaware firms in moments that increased the likelihood of strong reform. Conversely, events that do not meaningfully alter the probability or expected strength of reform should have produced little differential reaction. I test these predictions using the following regression specification, estimated separately for each day t in the period of interest:

$$\mathrm{CAAR}_i(t) = \alpha + \beta_t \, delaware_i + \gamma' \mathbf{X}_i + \delta_j + \varepsilon_{it}, \tag{4}$$

where $\mathrm{CAAR}_i(t)$ is firm i's cumulative industry-adjusted abnormal return through day t (using equal-weighted SIC2 returns as a benchmark), re-based to equal zero on the trading day before the event under study. $\mathbf{X}_i$ contains log(sale), R&D intensity, ROA, and lagged ROA. δ_j are SIC2 fixed effects. The path of $\hat{\beta}_t$ traces the differential cumulative return for Delaware vs. otherwise-similar non-Delaware firms. I use heteroskedasticity-robust (White, 1980) standard errors and depict a 95% confidence interval. The sample consists of the $2,676$ firms and excludes dot-com firms, though the results are similar when dot-com firms are included (Appendix Figure A.A.3).

Figure 8 depicts the path of the Delaware coefficient over the period between March 1 through December 31, 2002, including the period during which SOX's enactment went from being viewed as an unlikely to enacted law. The figure is rebased so that the Delaware coefficient is zero June 24, 2002, the day before WorldCom's disclosure. The pre-trend from March through June 24, before any strong-SOX catalyst, is a flat +0.35 percentage points on average. On June 11, the NYSE's Corporate Accountability and Listing Standards Committee released a governance report proposing that all listed companies be required to maintain a majority of independent directors. This report produced did not significantly affect the Delaware coefficient, as shown in Figure 8, as belief persisted that Congress was unlikely to pass a stringent reform (Romano, 2005). Those expectations began to shift rapidly on June 25, when WorldCom announced the largest accounting fraud in U.S. history. In the days following the disclosure, the substantive federal legislation became a near certainty: as one contemporaneous account put it, "[t]his was a stampede," with legislators who had opposed comprehensive reform dropping their resistance "because there was simply too much pressure on them to pass something" (Romano, 2005). The Worldcom announcement produced a sharp downward break in the Delaware coefficient. 10 days after the WorldCom disclosure, the DE return differential was a statistically significant −1.50 percentage points. The coefficient continued declining through SOX's Senate passage (97–0, July 15) and President Bush's signing (July 30), by which point DE firms had lost a cumulative −1.72 percentage points, on average. Between October and year-end, this number had largely stabilized at around −3.82 percentage points, as investors continued repricing Delaware's relative governance contribution in the months following enactment.

The cumulative −3.82 percentage point discount is economically large relative to the premium it erased. Daines (2001) estimated that Delaware incorporation was worth roughly five percentage points of market capitalization for the median firm. The loss of value to Delaware firms by the end of 2002 accounts for the bulk of that premium, suggesting that SOX and its aftermath eliminated most of it. The speed of this value deterioration is striking: a multi-decade valuation differential was substantially diminished within a five-week window leading up to the legislation, and all but erased within 2 months thereafter. The pattern is difficult to attribute to any slow-moving alternative explanation; the maturation of competitor-state judiciaries, the rise of institutional monitoring, and the development of internet-based communication all evolved over years rather than weeks. The timing and magnitude of the repricing are strongly suggestive that SOX meaningfully decreased the value of Delaware's governance protections.

On the other hand, Figure 9 shows that the April 2002 House passage of the Oxley bill produced no differential returns to Delaware firms. The bill was widely understood at the time as a modest, business-friendly disclosure measure with limited value-relevant implications; the Senate had not acted on the House bill in the months following its passage, and media accounts as late as mid-June 2002 did not expect the stronger bill that was in committee in the Senate to pass (Zhang, 2007; Romano, 2005). The evidence from Figure 9 suggests that market participants anticipated that the Oxley bill would not materially alter the governance gap between Delaware and non-Delaware firms. In the 10 days following the House passage, Delaware firms experienced an economically small and statistically insignificant change of −0.03 percentage points relative to non-Delaware peers.

A plausible alternative interpretation of the SOX-window results is that Delaware law, not the federal statute, was responsible for the premium's collapse. Enron was a Delaware-incorporated firm; if its collapse revealed that Delaware governance was inadequate in failing to prevent the fraud, investors might have repriced Delaware incorporation at that moment, independently of any federal legislative response. To test this interpretation, I conduct an event study using the same approach as the one described above around the Enron disclosure. This event study is depicted in Figure 10, and shows no evidence that Delaware firms experienced differential returns around the Enron stock collapse of October 2001. This null result strongly suggests that the failure of Delaware law to prevent the Enron disaster was not responsible for the decrease in the premium that began several months later.

In Table 7, I summarize the findings of this event study approach estimated around several of the key dates. The null responses to the House bill (April 24, 2002), NYSE's governance report (June 11, 2002), and the Enron disclosure (October 16, 2001) stand in contrast to the large and significant effects concentrated in the WorldCom–signing window. This pattern of muted reactions outside the enactment window is consistent with Li et al. (2008) and Jain and Rezaee (2006), who find that broad SOX-related valuation effects were concentrated between late June and August 2002, the same window over which the Delaware premium was eroded.

I verify that the result of Figure 8 is not driven by outlier returns by repeating the exercise using CAARs that are winsorized at the 5th and 95th percentile (Appendix Figure A.A.2) and by replacing the OLS regression with a median (quantile) regression (Appendix Figure A.A.1). The patterns are essentially unchanged, confirming that the large negative Delaware CAARs between the WorldCom disclosure and the SOX signing are not driven by outliers.

Taken together, these event studies point to SOX as a major cause of the Delaware premium's disappearance. The next section reinforces the interpretation by showing that the premium declines most precisely where SOX's federal governance floor substitutes most directly for Delaware law.

4.4 Heterogeneity in Premium Erosion

If the decline in the Delaware premium is due to SOX federal governance standards, then the premium should decline most for firms that had the weakest alternative sources of governance quality (i.e., those that relied most heavily on Delaware's governance protections) (Litvak, 2007). I use three firm characteristics to proxy for governance reliance. Small firms often have fewer in-house compliance resources and brand recognition that can substitute for formal legal protections. As a result, Delaware's governance product should be more valuable to these small firms. Firms listed off a major exchange similarly lack the discipline of exchange listing standards, making their Delaware-specific protections a larger share of total governance. Finally, firms subsequently identified as having material internal-control weaknesses under SOX Section 404 are a direct, albeit ex-post, measure of governance deficiency.

For each of these three governance dimensions I estimate a triple-difference of the form

$$\begin{aligned} Q_{it} = \alpha &+ \beta_1 \, \mathrm{DE}_i + \beta_2 \, G_{it} + \beta_3 \, \mathrm{Post}_t + \beta_4 (\mathrm{DE}_i \times G_{it}) \\ &+ \beta_5 (\mathrm{DE}_i \times \mathrm{Post}_t) + \beta_6 (G_{it} \times \mathrm{Post}_t) + \theta (\mathrm{DE}_i \times G_{it} \times \mathrm{Post}_t) + \mathbf{X}'_{it} \boldsymbol{\gamma} + \delta_j + \delta_t + \varepsilon_{it}, \end{aligned} \tag{5}$$

where G_{it} is a binary indicator equal to one for the category of interest in each specification (small, non-major-exchange, or material-weakness firms). A negative $\hat{\theta}$ means the Delaware premium fell more sharply for that group after 2002. Table 8 reports the interaction estimates, $\hat{\theta}$, for each of the cross-sectional dimensions I considered. Tables 9, 10, and 11 present more detailed results for the three primary dimensions discussed above: firm size, listing venue, and material-weakness exposure.

Size. Small firms lack the in-house compliance resources and dedicated legal infrastructure that large corporations deploy as private substitutes for formal legal protections. Delaware's governance product should therefore be most valuable to small firms, and if so, one would expect the pre-SOX premium to be concentrated among them and to erode most sharply when SOX installed a federal floor. The prediction is consistent with Subramanian (2004)'s observation that the Daines premium was concentrated in small firms, though the interpretation differs: rather than a fragile or illusory premium, the small-firm concentration reflects reliance on Delaware law that SOX subsequently rendered redundant. I split firms at the median annual sales in each year (small-firm median: $24 million; large-firm median: $771 million).

The results in Table 9 confirm the prediction. The coefficient of interest, $\hat{\theta}$, is a statistically significant -0.15 percentage points, indicating that the premium's disappearance was concentrated among small firms. Pre-SOX, small firms had a Delaware premium that was $+0.05$ percentage points greater than large firms, though that difference was not statistically significant. Post-SOX, the large-firm Delaware premium barely changed, whereas the small-firm Delaware premium fell sharply; the cross-section of the premium's disappearance concentrates heavily in the small-firm group. The result contextualizes Subramanian (2004)'s finding that the premium was small firm phenomenon; under my interpretation, this concentration is to be expected, as it reflects small firm's reliance on Delaware law, as evidenced by their disproportionate decline after SOX was enacted.

Listing venue. Firms listed on a major exchange (74% of the sample) face continuous analyst coverage and the governance discipline of exchange listing standards (Chhaochharia, Grinstein, 2007), private substitutes for formal legal protections that OTC and pink-sheet firms (26%) lack. As a result, the Delaware premium should have eroded most for non-major-exchange firms, which relied on Delaware law more heavily. The prediction is confirmed in Table 10: the Delaware premium was slightly larger pre-SOX among non-major-exchange firms, and was reduced by a statistically significant 0.18 for the non-major-exchange firms, compared to a slight decrease in the major-exchange firms.

Internal-control weakness. SOX Section 404 created a direct firm-level measure of governance deficiency: a material weakness finding means auditors identified a deficiency severe enough to allow a material misstatement to pass undetected. These firms had the most acute governance gaps and should have benefited most from SOX's mandatory audit floor, so their Delaware premium should have eroded most sharply. On the $93,791$-observation accelerated-filer subsample, the triple-difference for material-weakness firms is -0.13, confirming the prediction. Table 11 shows that pre-SOX there is no meaningful difference between Delaware and non-Delaware firms that go on to face a material-weakness, but post-SOX the gap opens to -0.14. In other words, the Delaware premium was effectively zero for material-weakness firms before SOX, but after SOX it became negative and economically large. Again, the cross-section reveals that the Delaware premium decline post-SOX was most pronounced for firms with the most severe governance deficiencies.

Null results. The controlled-company and dual-class splits produce triple-difference estimates of $+0.08$ and -0.01 respectively, neither significant. These nulls are informative about which aspects of SOX drove the erosion. Controlled and dual-class firms may claim the controlled-company exemption from SOX's board-independence and audit-committee composition requirements; if the premium's erosion operated primarily through board structure, one would observe differential erosion for the single-class and non-controlled firms subject to those mandates. The absence of any such differential suggests the board-composition provisions of SOX may not have been the primary provision behind the premium's decline. The certification and internal-control requirements of Sections 302 and 404, which apply universally, are therefore more consistent with the observed uniform erosion in the Delaware premium across ownership structures.

4.5 DExit: Value Effects of Reincorporating

As discussed in Section 2.3, beginning in 2023 a cohort of firms began reincorporating out of Delaware, providing an opportunity to test whether Delaware incorporation commands a valuation premium today. Table 2 and Figure 2 document the DExit cohort. As of early 2026, 18 public companies had announced reincorporation proposals, most to Nevada or Texas. Collectively the departing firms represented more than $1,964 billion in market capitalization, concentrated in technology and financial-services firms with concentrated ownership structures. Figure 11 shows that departing firms are larger, more valuable, and more highly levered than the typical Delaware firm.

Market reactions to the reincorporation announcements show no evidence of a positive repricing. Figure 12 plots the cumulative abnormal returns around each proposal date. The cohort earns a mean cumulative abnormal return of -3.9% at announcement, not statistically distinguishable from zero, consistent with no market-assessed governance benefit from leaving Delaware.

A critique of the event-study approach is that the DExit cohort is small, and the reincorporating firms are self-selected in ways that may affect the interpretation of the results. The synthetic control method (Abadie, Gardeazabal, 2003; Abadie, Diamond, et al., 2010) is designed specifically to overcome these limitations by constructing a tailored, data-driven counterfactual for each treated unit that consists of a weighted combination of "donor" units. For each reincorporating firm, I construct a donor pool consisting of Delaware- incorporated firms in the same two-digit SIC industry that do not leave Delaware. The controls are matched on pre-proposal sales, R&D intensity, return on assets, average pre-proposal q, and the q in the last pre-proposal quarter. If the two-digit donor pool yields a poor pre-period fit (RMSPE > 0.60), I expand it to the one-digit SIC level. I then restrict to firms with quality pre-period fits (RMSPE < 0.60); 13 of the 16 fitted reincorporating firms meet this threshold. Exhibits showing the q trajectory, covariate balance, and donor portfolio weights for each of the 13 included firms are in Appendix B. Figure 13 plots the mean and median treated-minus-synthetic q gap in event time. By design, this gap is small and statistically indistinguishable from zero in the pre-reincorporation window. After the reincorporation, however, the reincorporating firms still show no discernible q improvement or deterioration.

Although the sample naturally has limited power, both the event-study test and synthetic-control estimates indicate that reincorporating out of Delaware today neither creates nor destroys value.

5 Conclusion

The evidence suggests that the Delaware premium documented by Daines (2001) has largely disappeared. This finding has important implications for both Delaware and the literature on state competition for corporate charters. Although prior work (Subramanian, 2004; Rhee, 2023) has questioned the persistence and magnitude of the premium, this paper specifically focuses on its evolution around SOX and documents a downward break in its post-2002 trajectory. This pattern naturally raises the question of whether the state's competitive position may be more fragile than some of the literature (Romano, 1985; Bebchuk, Hamdani, 2002) has suggested. Because franchise taxes and related fees from incorporated firms account for a substantial share of Delaware's revenue (Kahan, Kamar, 2002), any erosion of Delaware's distinct value-add has real fiscal consequences for the state.

The findings speak to the foundational debate between race-to-the-top and race-to-the-bottom accounts of Delaware's dominance. Like Daines (2001), the results are consistent with a race-to-the-top interpretation of Delaware's pre-SOX advantage; Delaware firms traded at a premium before 2002, which subsequently declined following SOX. This pattern is consistent with investors valuing governance features that became less distinctive once comparable protections were federalized. On the other hand, recent events in the post-SOX environment are more suggestive of a race-to-the-bottom dynamic (Cary, 1974). In particular, Delaware has responded to DExit departures with Senate Bill 21 (Delaware S.B. 21, 2025), which relaxed minority-shareholder protections in an effort to retain corporate clients.

The evidence is consistent with the view that the Daines premium rested, at least in part, on governance protections that SOX subsequently extended to all public companies by federal mandate: disclosure requirements, internal controls, and audit-committee independence. In this interpretation, Delaware's pre-SOX advantage reflected the relative scarcity of these protections rather than a permanent superiority of state law. More broadly, the results suggest that the value of state-level governance regimes depends on the availability of protections supplied by other institutions. As the federal governance landscape and state charter competition continue to evolve, this substitution mechanism may provide a useful lens for understanding future shifts in corporate chartering.

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Table 1: The four economically significant provisions of the Sarbanes–Oxley Act of 2002 (Pub. L. 107-204) and their relationship to Delaware corporate-law doctrine. §§ 302 and 404 federalized duties previously enforced through Delaware fiduciary-duty litigation; § 301 filled a gap where Delaware law was silent on audit-committee independence; § 806 extended accountability logic into the employee-reporting channel that Delaware's shareholder-facing tools did not reach. Sources: Coates and Srinivasan (2014); Romano (2005).

SOX section	**Federal requirement**	**Delaware law relationship**
§ 302 *CEO/CFO certification*	CEOs and CFOs must personally certify the accuracy of periodic financial statements and the adequacy of internal controls, with criminal liability for knowing violations.	*Caremark* duty of candor and oversight: directors' obligation to ensure the accuracy of financial disclosures and to maintain adequate oversight of reporting, enforced through derivative litigation in Chancery.
§ 404 *Internal-control attestation*	Management must assess and report on the effectiveness of internal control over financial reporting; the external auditor must independently attest to that assessment (Iliev, 2010).	*Stone v. Ritter* and *Marchand v. Barnhill*: the duty-to-monitor line under *Caremark* governing the standard of care for failure to detect and correct corporate misconduct through adequate internal controls.
§ 301 *Audit committee independence*	Audit committees must consist entirely of independent directors and have direct authority over the appointment, compensation, and oversight of the external auditor (Chhaochharia, Grinstein, 2007).	Delaware imposed no mandatory audit-committee independence requirement; § 301 filled that gap rather than displacing an existing rule.
§ 806 *Whistleblower protection*	Federal civil and criminal protection for employees who report accounting irregularities or securities violations to supervisors, the SEC, or Congress.	Although misconduct reached Chancery Court primarily through shareholder tools (DGCL § 220 inspection demands and derivative suits) rather than employee reports, a degree of whistleblower function was served indirectly when employees provided evidence in derivative proceedings; § 806 formalized and expanded this channel with explicit federal protections.

Table 2: Public companies reincorporating from Delaware, 2023–2026. Firms are identified through EDGAR full-text search of 8-K filings and preliminary proxy or information statements; proposal and completion dates are drawn from the relevant SEC filing dates. Market capitalization is Compustat market value of equity ($M) at the fiscal year-end immediately preceding the proposal year; where that year is unavailable (e.g. recent IPOs, firms outside the analysis sample), the most recent available Compustat year is used instead.

Company	Ticker	Proposal date	To	Mkt cap (USD M)	Status
TripAdvisor	TRIP	2023-04-10	NV	$1,667	Completed
Cannae Holdings	CNNE	2024-04-14	NV	$735	Completed
Fidelity Natl Financial	FNF	2024-04-15	NV	$14,794	Completed
Tesla	TSLA	2024-06-13	TX	$1,686,900	Completed
The Trade Desk	TTD	2024-09-23	NV	$18,066	Completed
Dropbox	DBX	2025-01-31	NV	$6,753	Completed
Trump Media	DJT	2025-02-21	FL	$3,664	Completed
Simon Property Group	SPG	2025-03-21	IN	$60,202	Completed
Tempus AI	TEM	2025-03-28	NV	$10,517	Completed
Roblox	RBLX	2025-04-02	NV	$57,398	Completed
Sphere Entertainment	SPHR	2025-04-03	NV	$3,275	Completed
Xoma Royalty	XOMA	2025-04-04	NV	$315	Completed
MSG Entertainment	MSGE	2025-04-07	NV	$1,897	Completed
MSG Sports	MSGS	2025-04-07	NV	$5,019	Completed
AMC Networks	AMCX	2025-04-11	NV	$406	Completed
Affirm Holdings	AFRM	2025-04-21	NV	$22,478	Completed
Dillard's	DDS	2025-07-18	TX	$9,478	Completed
Coinbase	COIN	2025-11-12	TX	$60,568	Completed

Table 3: Daines Replication: Pooled OLS Regressions. Each column reports estimates from $q_{it} = \alpha + \beta\,\text{Delaware}_{it} + \gamma'\mathbf{X}_{it} + \delta_j + \delta_t + \varepsilon_{it}$. Columns 1 and 2 use standard Tobin's q (MVE + AT − CEQ − DT) / AT, trimmed at the 1/99 percentiles within each fiscal year; Column 3 replaces the dependent variable with intangible-adjusted total q following Peters and Taylor (2017). Column 1 includes only the Delaware indicator; Columns 2 and 3 add controls $\mathbf{X}_{it}$ (log sales, R&D/assets, current and lagged ROA) and two-digit SIC and year fixed effects δ_j, δ_t. Standard errors are clustered by firm and year. The sample is the Compustat annual file, 1981–1996, excluding utilities (SIC 4900–4999) and financials (SIC 6000–6999), and retaining firms with ≥ 5 firm-years.

	OLS	OLS + controls	OLS + controls (total q)
Delaware incorporation	0.03	0.08***	0.06***
	(0.02)	(0.02)	(0.01)
Firm size (log of sales)		-0.12***	-0.08***
		(0.01)	(0.01)
R&D expense/assets		8.19***	1.47***
		(0.59)	(0.28)
Return on assets (current year)		0.70***	0.86***
		(0.12)	(0.07)
Return on assets (prior year)		-0.65***	0.07
		(0.17)	(0.09)
Annual dummies	Yes	Yes	Yes
Industry dummies	Yes	Yes	Yes
Sample size	52,375	52,375	52,375
R^2	0.11	0.23	0.12

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.10$.

Table 4: Annual estimates of the Delaware coefficient $\hat{\beta}_t$ from $q_{it} = \alpha + \hat{\beta}_t \text{Delaware}_i + \hat{\gamma}' \mathbf{X}_{it} + \delta_j + \varepsilon_{it}$, estimated separately for each fiscal year t across the full Compustat sample, 1971–2025, where $\mathbf{X}_{it}$ includes log sales, R&D/assets, current and lagged ROA and δ_j are two-digit SIC fixed effects. q adjusts for intangibles following Peters and Taylor (2017). The trimmed column applies a 1/99 trim within each fiscal year, the industry-adjusted column subtracts the three-digit SIC mean q and drops SIC dummies, and the winsorized column applies a 5/95 cap within each fiscal year. The right-hand-side controls are likewise winsorized at the 5/95 percentiles within each fiscal year. Standard errors are White (1980) robust.

	Trimmed (1/99)		Industry-adj.		Winsorized (5/95)		
Year	Coef.	p	Coef.	p	Coef.	p	n
1971	0.08	0.05	0.06	0.14	0.04	0.22	1,427
1972	0.08	0.06	0.06	0.08	0.05	0.13	1,531
1973	0.05	0.06	0.05	0.03	0.05	0.02	1,631
1974	0.02	0.21	0.02	0.20	0.02	0.08	1,686
1975	0.04	0.02	0.03	0.07	0.03	0.02	1,745
1976	0.01	0.44	0.01	0.36	0.01	0.61	1,765
1977	0.00	0.82	0.01	0.67	0.00	0.71	1,791
1978	0.01	0.53	0.01	0.38	0.01	0.58	1,911
1979	-0.00	0.92	0.00	0.87	0.01	0.68	2,014
1980	-0.01	0.87	0.00	0.94	0.02	0.40	2,133
1981	0.05	0.06	0.05	0.03	0.05	0.03	2,424
1982	0.04	0.18	0.04	0.15	0.03	0.23	2,560
1983	0.05	0.12	0.05	0.10	0.04	0.07	2,812
1984	0.04	0.06	0.04	0.08	0.04	0.03	3,016
1985	0.07	0.00	0.06	0.02	0.06	0.01	3,154
1986	0.09	0.00	0.06	0.02	0.06	0.00	3,372
1987	0.07	0.00	0.06	0.01	0.06	0.00	3,403
1988	0.07	0.00	0.05	0.01	0.06	0.00	3,346
1989	0.06	0.01	0.05	0.04	0.05	0.01	3,251
1990	0.08	0.00	0.07	0.00	0.08	0.00	3,232
1991	0.12	0.00	0.10	0.00	0.10	0.00	3,329
1992	0.07	0.01	0.06	0.02	0.06	0.01	3,447
1993	0.08	0.00	0.08	0.00	0.07	0.00	3,634
1994	0.05	0.01	0.06	0.01	0.05	0.02	3,746
1995	0.04	0.13	0.03	0.22	0.04	0.11	4,032
1996	0.04	0.19	0.02	0.44	0.03	0.17	4,227
1997	0.03	0.18	0.03	0.30	0.02	0.31	4,249
1998	-0.00	0.98	-0.01	0.79	0.01	0.75	4,125
1999	0.08	0.06	0.04	0.30	0.07	0.06	3,994
2000	0.06	0.09	0.04	0.23	0.06	0.02	3,888
2001	0.06	0.07	0.03	0.31	0.05	0.05	3,677
2002	0.01	0.77	-0.01	0.59	0.02	0.37	3,514
2003	0.03	0.51	-0.00	0.90	0.04	0.18	3,358

Continued on next page

	Trimmed (1/99)		Industry-adj.		Winsorized (5/95)		
	Coef.	p	Coef.	p	Coef.	p	n
Year							
2004	-0.02	0.68	-0.03	0.38	0.02	0.50	3,281
2005	-0.01	0.85	-0.04	0.30	0.01	0.75	3,160
2006	0.02	0.59	-0.00	1.00	0.02	0.48	3,092
2007	-0.01	0.89	-0.02	0.48	-0.01	0.83	2,962
2008	-0.06	0.04	-0.06	0.02	-0.04	0.04	2,835
2009	-0.04	0.20	-0.04	0.12	-0.03	0.24	2,745
2010	-0.00	0.93	-0.01	0.85	-0.00	0.95	2,656
2011	-0.03	0.36	-0.03	0.35	-0.02	0.45	2,556
2012	-0.00	0.99	-0.00	0.93	-0.00	0.98	2,478
2013	0.00	0.95	-0.00	0.99	0.01	0.78	2,468
2014	-0.01	0.81	-0.02	0.60	0.00	0.91	2,485
2015	-0.03	0.57	-0.04	0.38	-0.01	0.82	2,427
2016	-0.09	0.06	-0.08	0.07	-0.06	0.11	2,370
2017	-0.21	0.00	-0.18	0.00	-0.13	0.00	2,298
2018	-0.13	0.02	-0.12	0.02	-0.11	0.01	2,273
2019	-0.04	0.44	-0.04	0.44	-0.06	0.17	2,213
2020	-0.14	0.11	-0.14	0.09	-0.07	0.28	2,185
2021	0.02	0.81	0.01	0.85	0.02	0.78	2,206
2022	-0.03	0.45	-0.01	0.88	-0.02	0.58	2,125
2023	-0.02	0.68	0.00	0.96	-0.02	0.63	2,015
2024	-0.01	0.85	0.00	0.93	-0.00	0.96	1,890
2025	0.08	0.18	0.10	0.05	0.07	0.16	1,318

Table 5: SOX DiD of the Delaware Valuation Premium. Both columns report firm-year-level OLS estimates of $q_{it} = \alpha + \beta_1 \, \text{Delaware}_{it} + \beta_2 \, \text{Post}_t + \beta_3(\text{Delaware}_{it} \times \text{Post}_t) + \gamma' \mathbf{X}_{it} + \delta_j + \varepsilon_{it}$, where q_{it} is intangible-adjusted Tobin's q following Peters and Taylor (2017), $\text{Post}_t = \mathbf{1}[t > 2002]$, and δ_j are two-digit SIC fixed effects. Column 2 adds controls $\mathbf{X}_{it}$ (log sales, R&D/assets, current and lagged ROA). The sample is the Compustat annual file, 1981–2025, excluding utilities (SIC 4900–4999), financials (SIC 6000–6999), and technology firms (Section 3), retaining firms with ≥ 5 firm-years. Standard errors are clustered by firm and year.

	No controls	Controls
Delaware	0.04***	0.05***
	(0.02)	(0.01)
Post-2002	0.25***	0.26***
	(0.05)	(0.05)
Delaware × Post-2002	-0.09***	-0.08***
	(0.03)	(0.03)
Firm size (log sales)		-0.02**
		(0.01)
R&D/assets		0.16
		(0.20)
ROA		0.46***
		(0.07)
ROA (lagged)		-0.50***
		(0.10)
Industry dummies	Yes	Yes
Year dummies	No	No
Sample size	151,462	151,462
R^2	0.05	0.06

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.10$.

Table 6: SOX DiD of Delaware M&A Activity. Columns 1–2 report firm-year-level OLS estimates of $y_{it} = \alpha + \beta_1 \,\text{Delaware}_i + \beta_2 \,\text{Post}_t + \beta_3(\text{Delaware}_i \times \text{Post}_t) + \gamma' \mathbf{X}_{it} + \delta_j + \varepsilon_{it}$, estimated on the SDC Platinum US-target sample, 1985–2021, where y_{it} is an indicator for firm i being a target (column 1) or acquirer (column 2) in year t, $\mathbf{X}_{it}$ includes log assets and ROA, and δ_j are two-digit SIC fixed effects. Columns 3–5 replace y_{it} with deal-level outcomes—the withdrawn-deal indicator (column 3), log days-to-close (column 4), and the defensive-tactic indicator (column 5)—estimated on the subsample of announced deals. The sample is restricted to control-changing deals with $\geq 50\%$ of shares acquired. Coefficients for binary outcome columns (columns 1–3 and 5) are in percentage points; column 4 (log days-to-close) is in log units. Standard errors are White (1980) robust.

	Pr(target)	Pr(acquirer)	Pr(withdrawn)	Log days-to-close	Pr(defense used)
Delaware	0.46**	1.60***	2.70***	-0.04	-2.85**
	(0.21)	(0.50)	(0.71)	(0.04)	(1.34)
Post-2002	-2.20***	-6.17***	-10.80***	-0.11**	-15.06***
	(0.27)	(1.43)	(2.93)	(0.05)	(3.19)
Delaware × Post-2002	-0.50*	-2.82***	-1.14	0.08	2.67*
	(0.26)	(0.74)	(1.43)	(0.05)	(1.57)
Log(assets)	1.30***	5.92***			
	(0.08)	(0.21)			
Log(transaction value)			-0.83*	0.04***	2.50***
			(0.43)	(0.01)	(0.46)
ROA	-3.89***	-0.43			
	(0.44)	(1.06)			
Sample size	117,102	117,102	5,388	3,773	5,388
R^2	0.03	0.12	0.04	0.07	0.08

Standard errors in parentheses. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.1$. Defense flag: SDC composite indicator that any defensive tactic was deployed.

Table 7: SOX Enactment: Abnormal Return Responses. Each row reports the Delaware coefficient $\hat{\beta}$ (percentage points) from $\text{CAAR}_i = \hat{\beta}\,\text{Delaware}_i + \hat{\gamma}' X_i + \delta_{\text{SIC2}} + \varepsilon_i$, where CAAR_i is firm i's cumulative industry-adjusted abnormal return over the window defined by the *Start* and *End* columns, X_i collects log sales, R&D/assets, current and lagged ROA, and δ_{SIC2} are two-digit SIC fixed effects. For the three event-study rows the window is $[-10, +10]$ trading days around the event date, rebaselined at $t = -1$; for the two episode rows it spans the full March 1–December 31, 2002 enactment episode, rebaselined at June 24, 2002. Firm characteristics are from the last fiscal year before the event; dot-com firms are excluded. Standard errors are White (1980) robust.

Event	Start	End	N	DE effect (pp)
Enron Q3 shock	Oct 2, 2001	Oct 30, 2001	2,909	-0.00 (0.60)
House passes Oxley bill	Apr 10, 2002	May 8, 2002	2,816	-0.03 (0.50)
WorldCom–SOX signing	Mar 1, 2002	Jul 30, 2002	2,676	-1.72** (0.73)
Episode year-end	Mar 1, 2002	Dec 31, 2002	2,676	-3.82** (1.72)

Table 8: Heterogeneity in the Delaware Premium Erosion. Each row reports $\hat{\theta}$ from $q_{it} = \alpha + \beta_1\text{DE}_i + \beta_2 G_{it} + \beta_3\text{Post}_t + \beta_4(\text{DE}_i \times G_{it}) + \beta_5(\text{DE}_i \times \text{Post}_t) + \beta_6(G_{it} \times \text{Post}_t) + \theta(\text{DE}_i \times G_{it} \times \text{Post}_t) + \mathbf{X}'_{it}\boldsymbol{\gamma} + \delta_j + \delta_t + \varepsilon_{it}$, estimated identically across all rows (only the sample and splitting variable G_{it} differ), where q_{it} is intangible-adjusted q winsorized 5/95 within fiscal year, $\mathbf{X}_{it}$ includes log sales, R&D/assets, ROA, and lagged ROA, and δ_j, δ_t are two-digit SIC and year fixed effects. G_{it} is coded one for the hypothesized erosion group, so a negative $\hat{\theta}$ indicates the Delaware premium fell more for that group after SOX. Standard errors are two-way (firm × year) cluster-robust. Full per-period tables for size, listing venue, and material weakness appear in Tables 9–11; analogous tables for the remaining heterogeneity dimensions are in Appendix **??**.

Moderator	Interacted (=1) group	DE×Mod×Post	N	R^2
Firm size	Small	-0.15*** (0.04)	133,828	0.09
Firm size (continuous)	z(log Sales)	+0.11*** (0.02)	133,828	0.09
Institutional ownership	High IO	+0.02 (0.05)	60,553	0.12
Inst. ownership (cont.)	z(InstOwn)	+0.01 (0.03)	60,553	0.12
Listing venue	Non-major-exchange	-0.14*** (0.05)	133,828	0.09
Controlled (EDGAR)	Non-controlled	-0.09 (0.08)	133,828	0.08
Dual-class	Single-class	-0.02 (0.08)	133,828	0.08
SOX 404 material weakness	Material weakness	-0.09* (0.05)	87,998	0.08
SOX 404 audit-fee shock	High fee shock	+0.02 (0.06)	87,998	0.08
Accelerated filer	Accelerated	+0.03 (0.06)	87,998	0.08
Non-audit fee reliance	High ratio (pre-SOX)	-0.04 (0.05)	74,516	0.10
AC independence (pre-SOX)	Not indep. pre-SOX	+0.04 (0.06)	79,362	0.09

Note: Each row is the Delaware × Moderator × Post_{2002} triple-difference from one pooled OLS, $Q \sim$ Delaware + Mod + Delaware:Mod + Delaware:Post + Mod:Post + Delaware:Mod:Post + controls + C(sic2) + C(fyear), estimated identically for every moderator (only the sample and the moderator variable differ); Q is intangible-adjusted Peters-Taylor q (5/95-winsorized within fiscal year); two-way firm×year cluster-robust SEs in parentheses. Moderators are coded so the "= 1" group is the hypothesized erosion group. Size rows omit log(Sales) from the controls (it defines the moderator); the institutional-ownership rows use the 1999–2025 13F-coverage sample and the SOX-404 rows the population of 404 filers; the non-audit fee row uses firms with pre-SOX fee disclosure (FY2000–2001, ˜4,800 firms); the AC independence row uses firms with a 2000–2001 DEF 14A proxy on EDGAR (00j). The full per-period tables are in the appendix. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.10$.

Table 9: Delaware Premium by Firm Size. Panels A and B report estimates from $q_{it} = \alpha + \beta_1\,\text{Delaware}_i + \beta_2\,\text{Small}_{it} + \beta_3(\text{Delaware}_i \times \text{Small}_{it}) + \beta_4\,\text{Post}_t + \beta_5(\text{Delaware}_i \times \text{Post}_t) + \beta_6(\text{Small}_{it} \times \text{Post}_t) + \theta(\text{Delaware}_i \times \text{Small}_{it} \times \text{Post}_t) + \mathbf{X}_{it}'\gamma + \delta_j + \delta_t + \varepsilon_{it}$, where Small_{it} equals one if a firm-year's log sales falls below the within-year median and $\mathbf{X}_{it}$ includes R&D/assets, ROA, and lagged ROA (log sales is the splitting variable and is omitted from controls). Panel A reports the interaction β_3 by period; Panel B reports the triple-difference $\hat{\theta}$. Standard errors are White (1980) robust.

Panel A: Pooled OLS with Delaware × Small interaction

	Pre-SOX (1981–2001)	Post-SOX (2002–2025)	Full sample (1981–2025)
Delaware	+0.023	+0.016	+0.028*
	(0.015)	(0.028)	(0.017)
Small	+0.032	-0.096***	-0.015
	(0.038)	(0.035)	(0.028)
DE × Small	+0.026	-0.075**	-0.035
	(0.022)	(0.037)	(0.024)
Controls	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes
N	72,918	60,910	133,828
R^2	0.088	0.091	0.081

Panel B: Triple-difference

	Coefficient
Delaware	+0.012 (0.015)
Small	+0.016 (0.028)
DE × Small	+0.045** (0.020)
DE × Post-2002	+0.002 (0.029)
Small × Post-2002	-0.083* (0.045)
DE × Small × Post-2002	-0.153*** (0.041)
Controls	Yes
Industry FE	Yes
N	151,462
R^2	0.107

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.10$.

Table 10: Delaware Premium by Listing Venue. Panels A and B report estimates from $q_{it} = \alpha + \beta_1 \,\text{Delaware}_i + \beta_2 \,\text{NonMajor}_{it} + \beta_3(\text{Delaware}_i \times \text{NonMajor}_{it}) + \beta_4 \,\text{Post}_t + \beta_5(\text{Delaware}_i \times \text{Post}_t) + \beta_6(\text{NonMajor}_{it} \times \text{Post}_t) + \theta(\text{Delaware}_i \times \text{NonMajor}_{it} \times \text{Post}_t) + \mathbf{X}'_{it}\gamma + \delta_j + \delta_t + \varepsilon_{it}$, where NonMajor_{it} equals one for firms trading on OTC or pink-sheet markets (Compustat STKO $\neq 0$) and $\mathbf{X}_{it}$ includes log sales, R&D/assets, ROA, and lagged ROA. Panel A reports the interaction β_3 by period; Panel B reports the triple-difference $\hat{\theta}$. Standard errors are White (1980) robust.

Panel A: Pooled OLS with Delaware × Non-major-exchange interaction

	Pre-SOX (1981–2001)	Post-SOX (2002–2025)	Full sample (1981–2025)
Delaware	+0.06***	+0.02	+0.04**
	(0.02)	(0.03)	(0.02)
Non-major-exchange	-0.07***	-0.01	-0.05**
	(0.02)	(0.05)	(0.03)
DE × Non-major-exchange	+0.00	-0.19***	-0.08**
	(0.03)	(0.06)	(0.03)
Controls	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes
N	72,892	60,835	133,727
R^2	0.09	0.07	0.07

Panel B: Triple-difference

	Coefficient
Delaware	+0.06*** (0.02)
Non-major-exchange	-0.06*** (0.02)
DE × Non-major-exchange	-0.00 (0.03)
DE × Post-2002	-0.04 (0.03)
Non-major-exchange × Post-2002	+0.02 (0.05)
DE × Non-major-exchange × Post-2002	-0.18*** (0.06)
Controls	Yes
Industry FE	Yes
N	133,727
R^2	0.07

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.10$.

Note: Panel A columns are separate per-period cross-sectional regressions, each estimating its own controls and fixed effects; Panel B is a single pooled triple-difference holding controls and fixed effects common across the pre/post split. The Panel B triple-difference is therefore the pooled estimand and need not equal the pre-to-post change in the Panel A interaction.

Table 11: Delaware Premium and SOX 404 Material Weakness. Panels A and B report estimates from $q_{it} = \alpha + \beta_1 \,\text{Delaware}_i + \beta_2 \,\text{MW}_i + \beta_3(\text{Delaware}_i \times \text{MW}_i) + \beta_4 \,\text{Post}_t + \beta_5(\text{Delaware}_i \times \text{Post}_t) + \beta_6(\text{MW}_i \times \text{Post}_t) + \theta(\text{Delaware}_i \times \text{MW}_i \times \text{Post}_t) + \mathbf{X}_{it}'\boldsymbol{\gamma} + \delta_j + \delta_t + \varepsilon_{it}$, where MW_i equals one if firm i disclosed a Section 404 internal-control material weakness in any year of its 404-filing history beginning 2004 (Audit Analytics). The sample is the population of firms that filed at least one Section 404 opinion. $\mathbf{X}_{it}$ includes log sales, R&D/assets, current and lagged ROA, and δ_j, δ_t are two-digit SIC and year fixed effects. Panel A reports the interaction β_3 by period; Panel B reports the triple-difference $\hat{\theta}$. Standard errors are White (1980) robust.

Panel A: Pooled OLS with Delaware × Material weakness interaction

	Pre-SOX (1981–2001)	Post-SOX (2002–2025)	Full sample (1981–2025)
Delaware	+0.098***	+0.045	+0.063**
	(0.034)	(0.036)	(0.029)
Material weakness	-0.052	-0.025	-0.031
	(0.039)	(0.043)	(0.034)
DE × Material weakness	-0.026	-0.143***	-0.108***
	(0.050)	(0.051)	(0.042)
Controls	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes
N	31,149	56,849	87,998
R^2	0.090	0.070	0.064

Panel B: Triple-difference

	Coefficient
Delaware	+0.070** (0.034)
Material weakness	-0.060 (0.038)
DE × Material weakness	-0.006 (0.048)
DE × Post-2002	-0.027 (0.044)
Material weakness × Post-2002	+0.030 (0.054)
DE × Material weakness × Post-2002	-0.134** (0.060)
Controls	Yes
Industry FE	Yes
N	93,791
R^2	0.073

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.10$.

Figure 1: Delaware's market share of public corporations, 1971–2025. (A) Delaware share of Compustat firm-years (excluding utilities, SIC 4900–4999, and financials, SIC 6000–6999); dashed vertical line marks Sarbanes-Oxley (2002). (B) Delaware share of new Compustat entrants, defined as firms in the first year of their Compustat record; dashed vertical line marks Sarbanes-Oxley (2002). Source: Compustat annual.

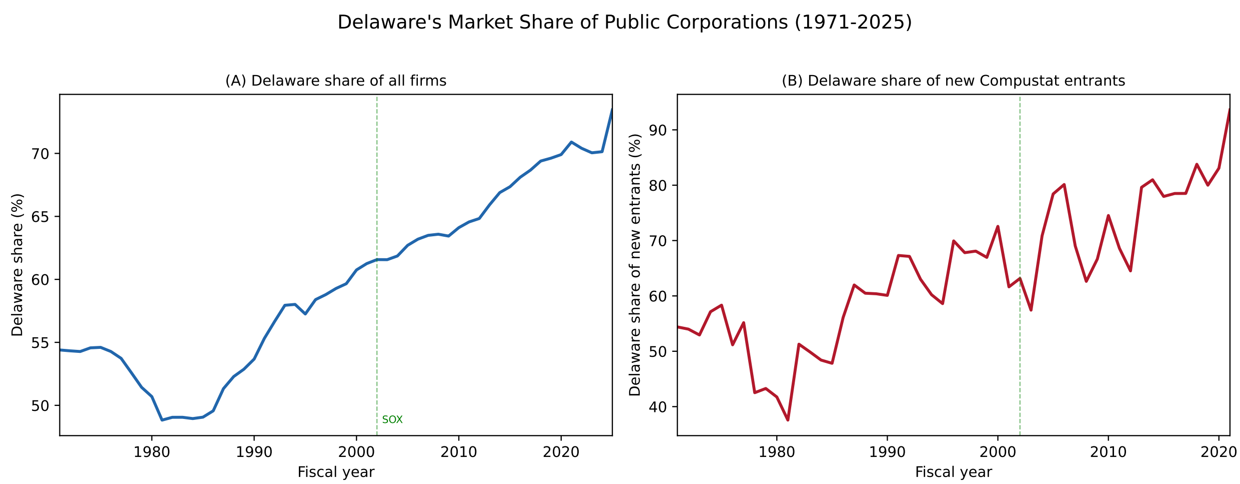


Figure 2: Public companies leaving Delaware, 2023–2026. Firms are identified through EDGAR full-text search of 8-K filings announcing reincorporation proposals and preliminary proxy or information statements. Proposal and completion dates are drawn from the relevant SEC filing dates. Each marker is a reincorporation proposal or completed move. Color denotes destination state and shape denotes outcome (circles: completed; triangles: pending; X: failed). Vertical dashed lines mark the Chancery Court's voiding of Musk's compensation (January 2024) and the signing of SB 21 (March 2025).

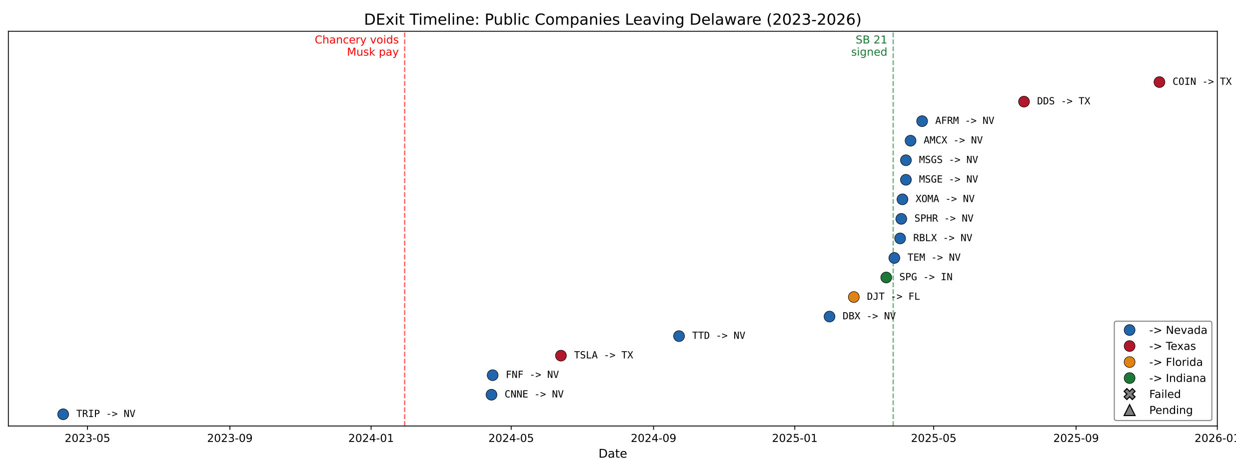


Figure 3: Annual Delaware Coefficient. The figure plots $\hat{\beta}_t$ from $q_{it} = \alpha + \hat{\beta}_t \, \text{Delaware}_i + \hat{\gamma}' \mathbf{X}_{it} + \delta_j + \varepsilon_{it}$, estimated separately for each fiscal year t across the full Compustat sample, 1971–2025, where $\mathbf{X}_{it}$ includes log sales, R&D/assets, ROA, and lagged ROA and δ_j are two-digit SIC fixed effects. Dot-com firms are excluded. Shaded bands are 95% confidence intervals. Panel (b) reports an industry-adjusted specification that subtracts the three-digit SIC mean q and drops SIC dummies. Panel (c) winsorizes q at the 5/95 percentiles within each fiscal year. The yellow band marks the Daines (2001) sample period (1981–1996). Standard errors are White (1980) robust.

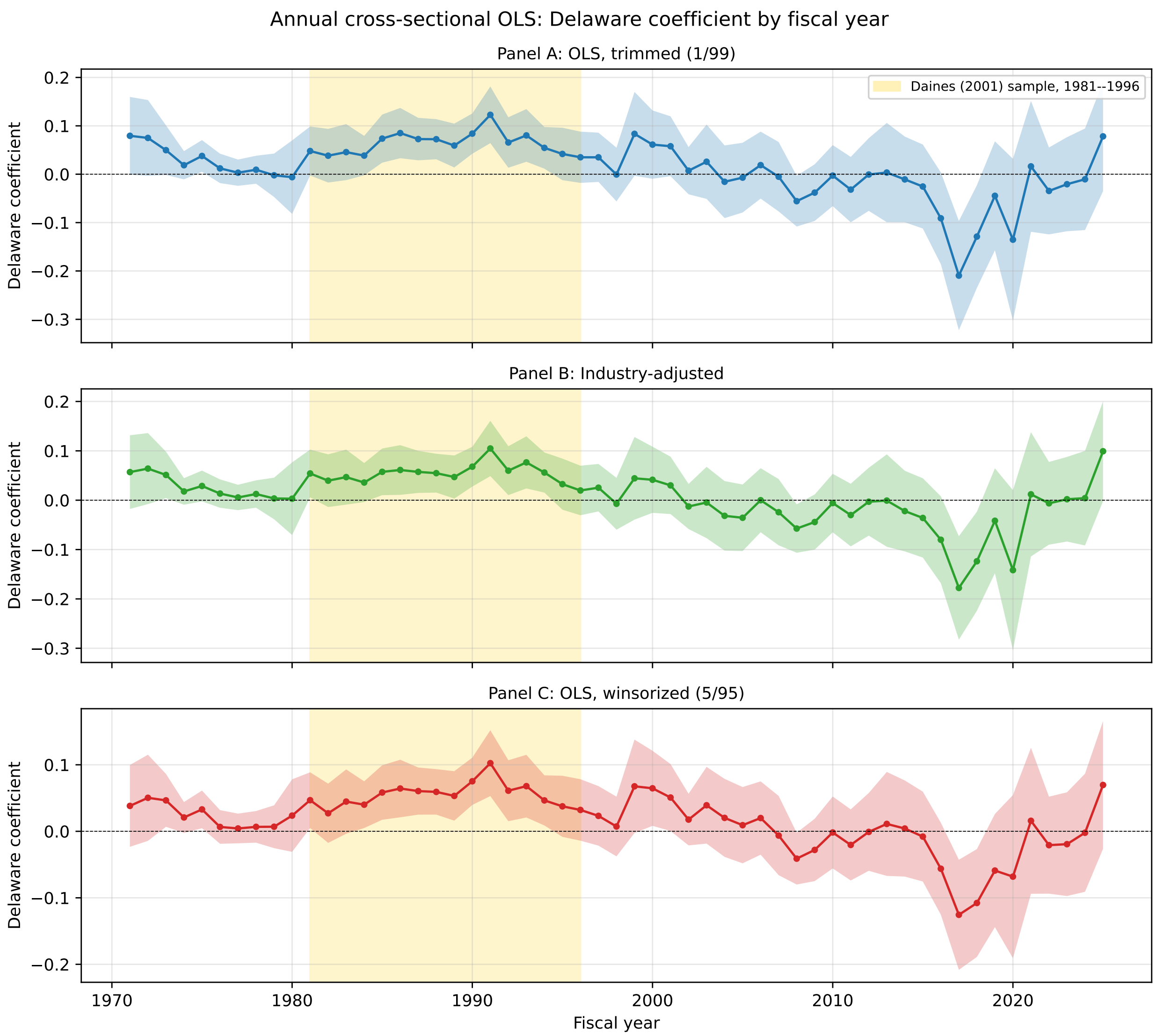


Figure 4: Delaware M&A Propensity and the q Premium. The left axis shows the per-year Delaware coefficient $\hat{\beta}_t$ from $y_{it} = \alpha + \hat{\beta}_t \, \text{Delaware}_i + \hat{\gamma}' \mathbf{X}_{it} + \delta_j + \varepsilon_{it}$, estimated separately for each year, where y_{it} is the target indicator (solid line) or acquirer indicator (dashed line), $\mathbf{X}_{it}$ includes log assets and ROA, and δ_j are two-digit SIC fixed effects. The right axis shows the per-year Delaware q premium from the winsorized intangible-adjusted specification in Table 4. Both series are plotted as deviations from their 2001 value. The yellow band marks the Daines (2001) window and the dotted vertical line marks SOX (2002). Standard errors are White (1980) robust. M&A data come from SDC Platinum and span 1985–2021; firm characteristics come from Compustat annual.

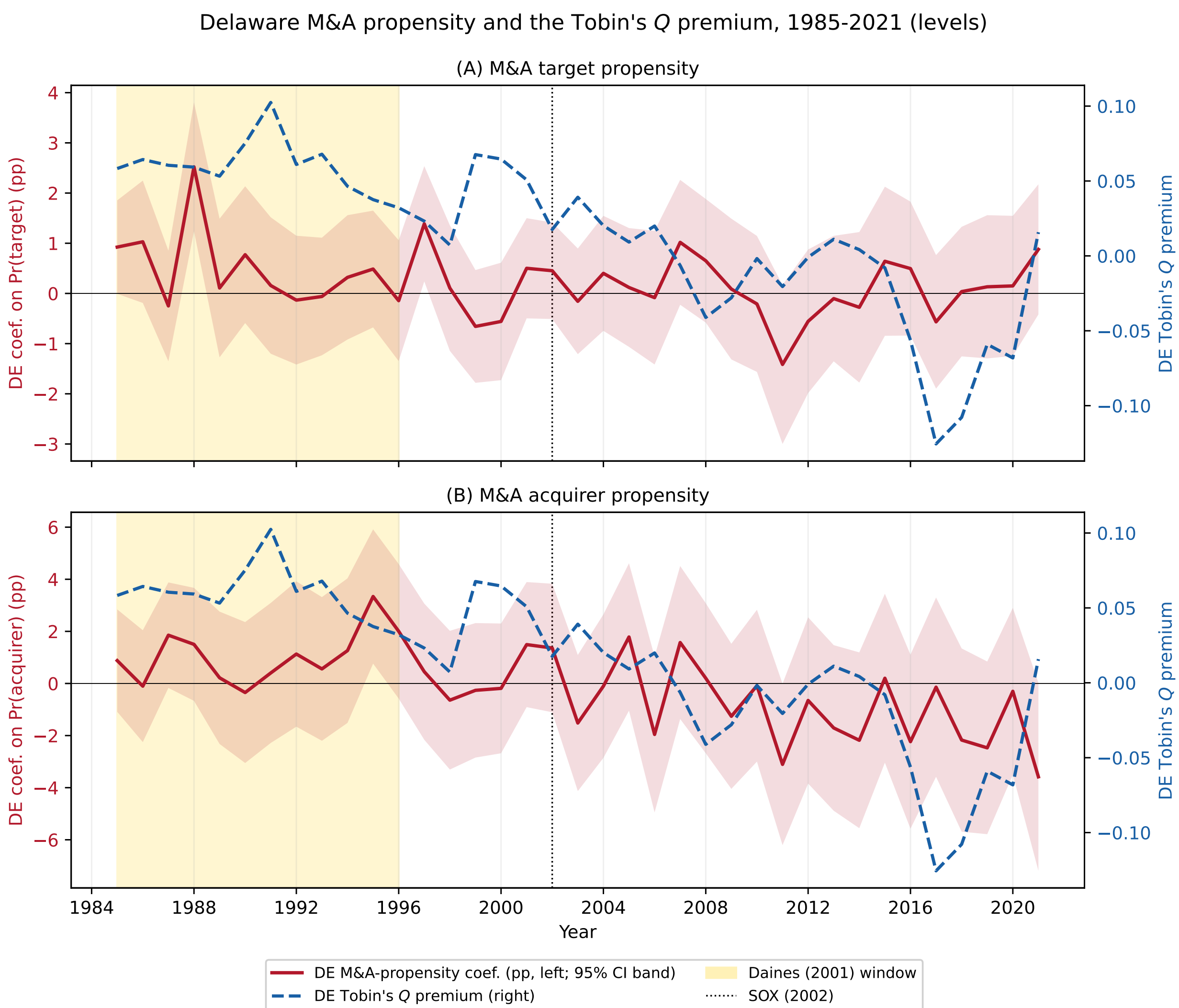


Figure 5: Delaware Premium and Court of Chancery Salience. The top panel plots the annual Delaware coefficient from the winsorized intangible-adjusted specification in Table 4. The middle panel plots annual Google Books Ngram frequency (parts per billion) for the composite "Delaware Court of Chancery" / "Delaware Chancery" (left axis, blue) and "Sarbanes-Oxley" (right axis, orange). The bottom panel plots SOX's share of cumulative Ngram attention, defined as cumulative SOX mentions divided by cumulative SOX plus Delaware Chancery mentions combined, with a dotted horizontal line at 50%. The dashed vertical line marks 2002, the year SOX was enacted. Ngram data come from Google Books Ngram Viewer and span 1971–2019.

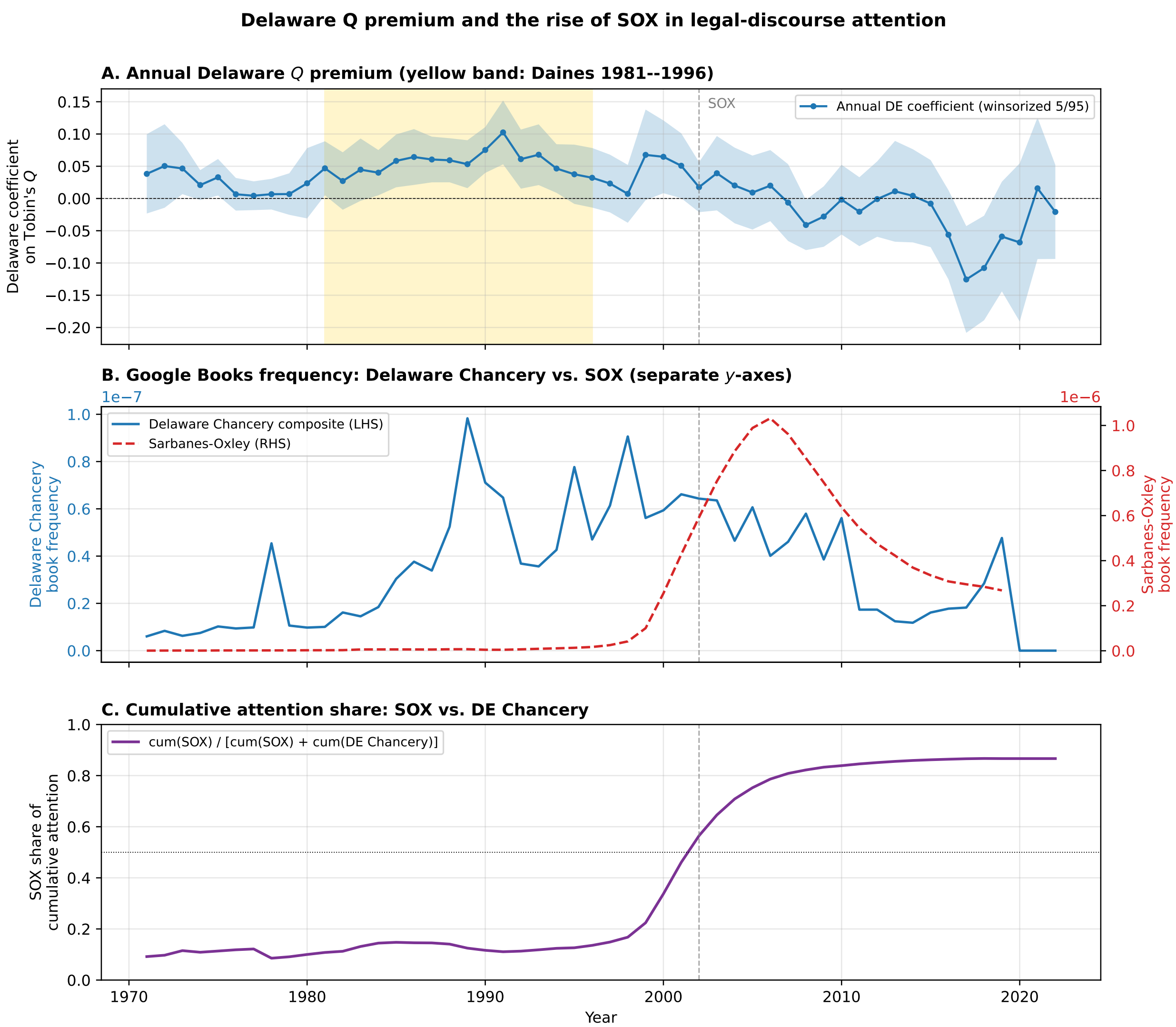


Figure 6: Monthly Google Trends: Court of Chancery. Bars show a composite index defined as the per-month sum of the Google Trends indices for the queries "Delaware Court of Chancery" and "Delaware Chancery Court." The solid line is the 12-month trailing moving average. Dashed vertical lines mark Twitter v. Musk filed in Chancery (July 2022), the Chancery voiding of Musk's $56B Tesla compensation (January 2024), SB 21 signed into law (March 2025), and the Delaware Supreme Court reversal of the pay ruling (December 2025). Google Trends data span 2004–2026.

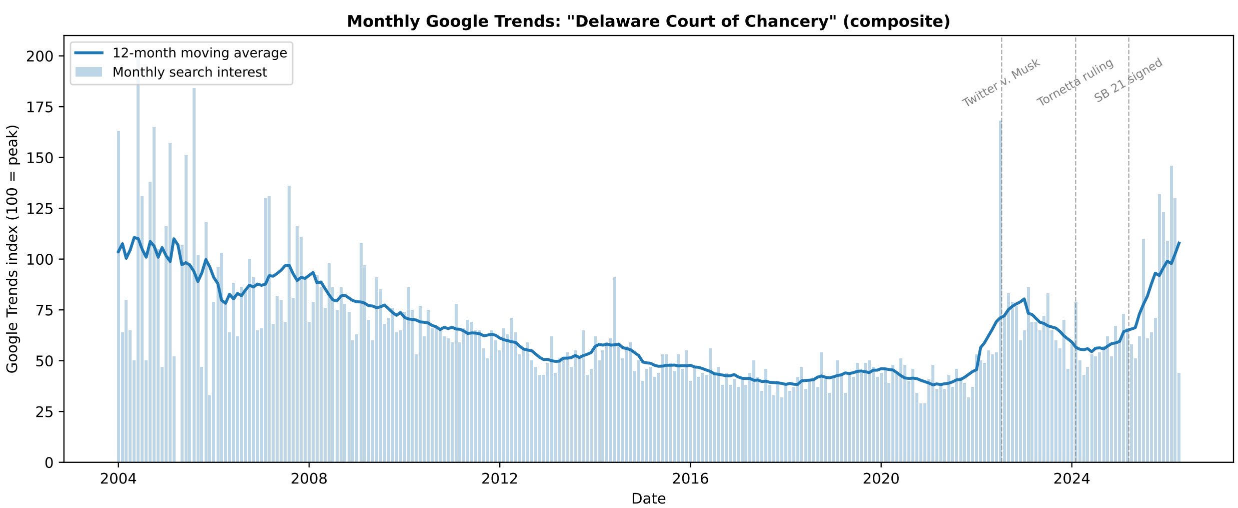


Figure 7: Weekly Google Trends: Court of Chancery. Bars show a weekly composite index defined as the per-week sum of the Google Trends indices for the queries "Delaware Chancery Court" and "Delaware Court of Chancery." The solid line is the 12-week centered moving average. Dashed vertical lines mark the Twitter v. Musk filing (July 2022), the Chancery voiding of Musk's $56B pay (January 2024), and SB 21 signed into law (March 2025). Google Trends data span 2020–2025.

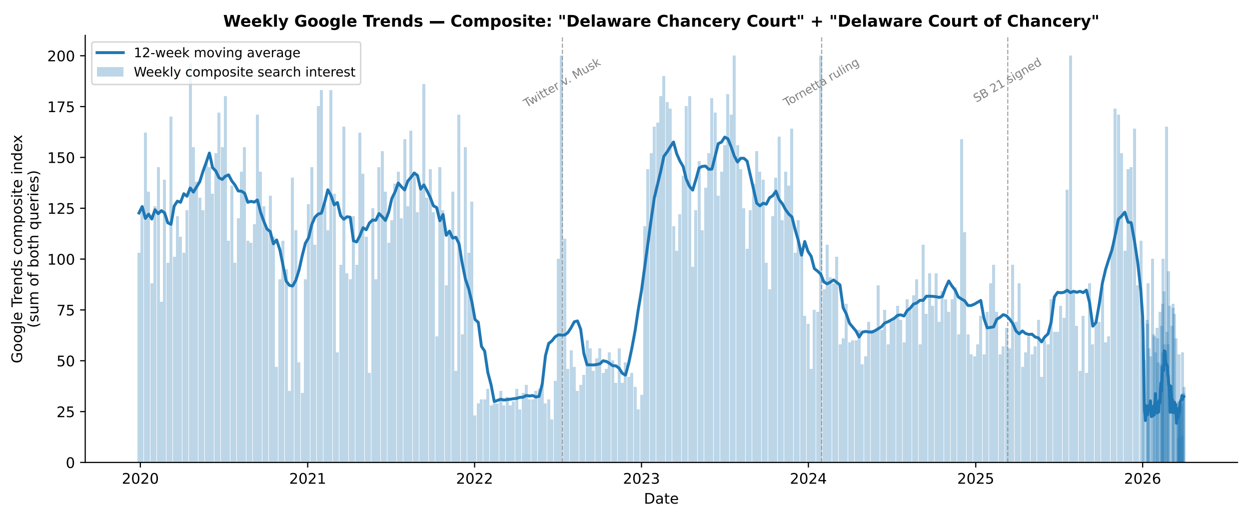


Figure 8: SOX Enactment Episode: Size-Controlled Delaware Effect. The line plots the Delaware coefficient $\hat{\beta}$ (percentage points) from $\text{CAAR}_i(t) = \hat{\beta}\,\text{Delaware}_i + \hat{\gamma}' X_i + \delta_{\text{SIC2}} + \varepsilon_i$, where $\text{CAAR}_i(t)$ is firm i's cumulative industry-adjusted abnormal return at trading day t, rebaselined to zero at June 24, 2002 (the day before WorldCom's disclosure), X_i collects log sales, R&D/assets, current and lagged ROA, and δ_{SIC2} are two-digit SIC fixed effects. The shaded vertical band spans the WorldCom–SOX enactment window (June 25–July 30). Dashed markers denote the NYSE governance report (June 11), the WorldCom disclosure (June 25), the SEC enforcement action (July 1), the Senate's 97–0 vote (July 15), the signing (July 30), and the October 9 market bottom. Pre-baseline points serve as a parallel-trends check. The industry benchmark is the full CRSP common-stock universe. Firm characteristics are from the last fiscal year before the episode. Dot-com firms are excluded. Standard errors are White (1980) robust. The shaded band around the line is a 95% confidence interval.

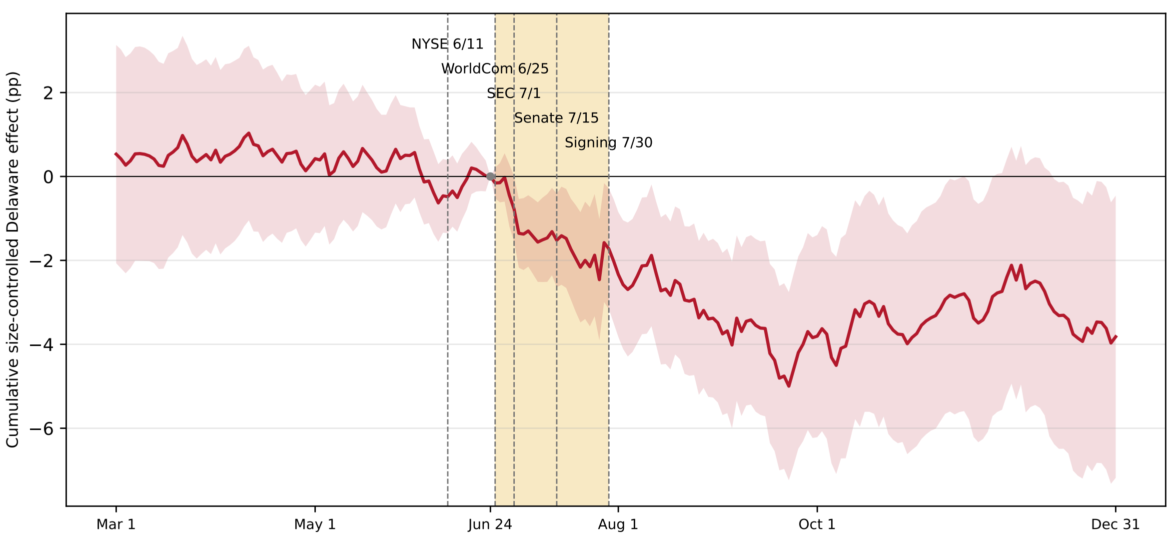


Figure 9: Weak-Bill Null: House Passage of the Oxley Bill. The figure plots $\hat{\beta}_t$ from $\text{CAAR}_i(t) = \alpha + \hat{\beta}_t \, \text{Delaware}_i + \hat{\gamma}' X_i + \delta_{\text{SIC2}} + \varepsilon_i$, where $\text{CAAR}_i(t)$ is firm i's cumulative industry-adjusted abnormal return rebaselined at $t = -1$, X_i collects log sales, R&D/assets, current and lagged ROA, and δ_{SIC2} are two-digit SIC fixed effects. The window is $[-10, +10]$ trading days around the House passage of the Oxley bill (April 24, 2002). The shaded band is a 95% confidence interval. Dot-com firms are excluded. Standard errors are White (1980) robust.

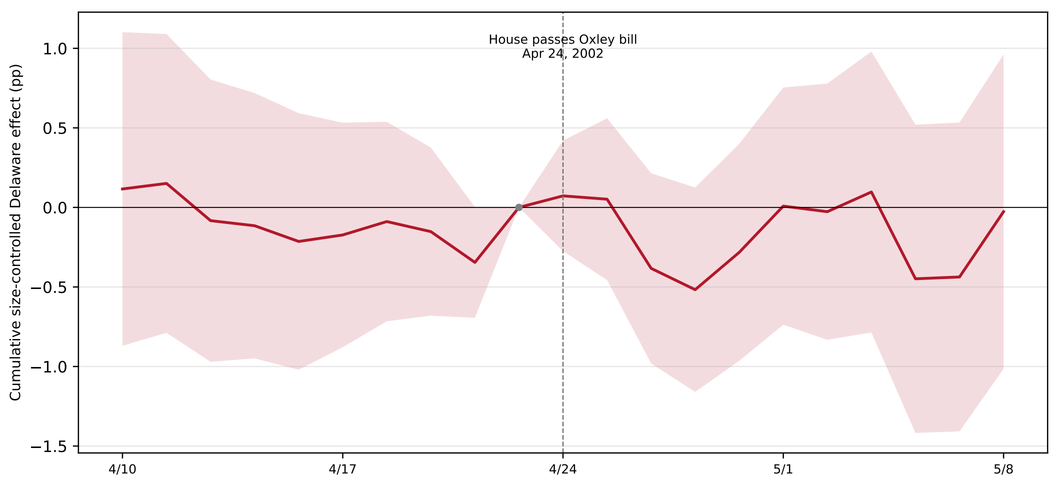


Figure 10: Enron Placebo: Size-Controlled Delaware Effect. The figure plots $\hat{\beta}_t$ from $\text{CAAR}_i(t) = \alpha + \hat{\beta}_t \, \text{Delaware}_i + \hat{\gamma}' X_i + \delta_{\text{SIC2}} + \varepsilon_i$, where $\text{CAAR}_i(t)$ is firm i's cumulative industry-adjusted abnormal return rebaselined at $t = -1$, X_i collects log sales, R&D/assets, current and lagged ROA, and δ_{SIC2} are two-digit SIC fixed effects. The window is $[-10, +10]$ trading days around the Enron third-quarter shock (October 16, 2001). The shaded band is a 95% confidence interval. Dot-com firms are excluded. Standard errors are White (1980) robust.

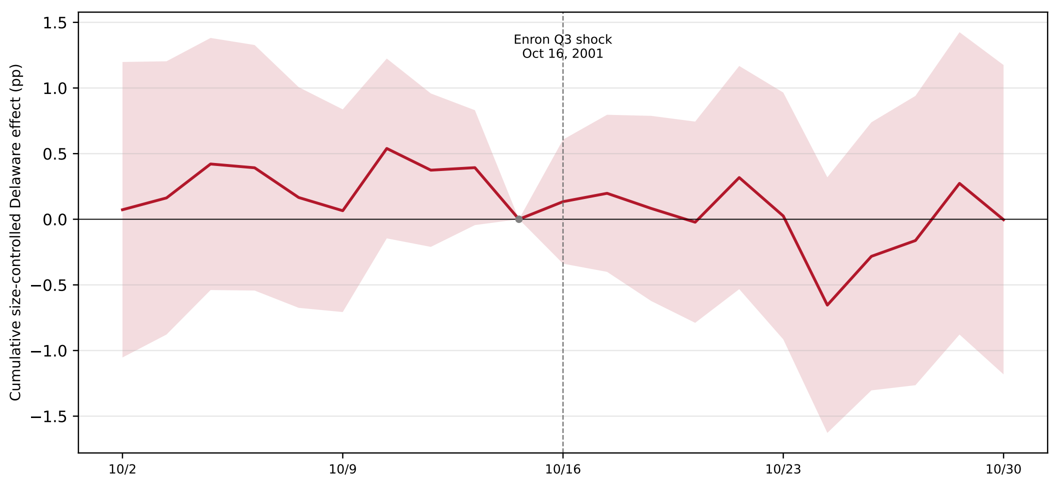


Figure 11: DExit Cohort Composition. Median Tobin's q, market capitalization (\$M), leverage (debt/assets), and firm age (years in Compustat) for completed DExit firms—each measured in the fiscal year before the reincorporation proposal—against all Delaware-incorporated firms and all non-Delaware firms in 2022–2024. Firm characteristics come from Compustat annual.

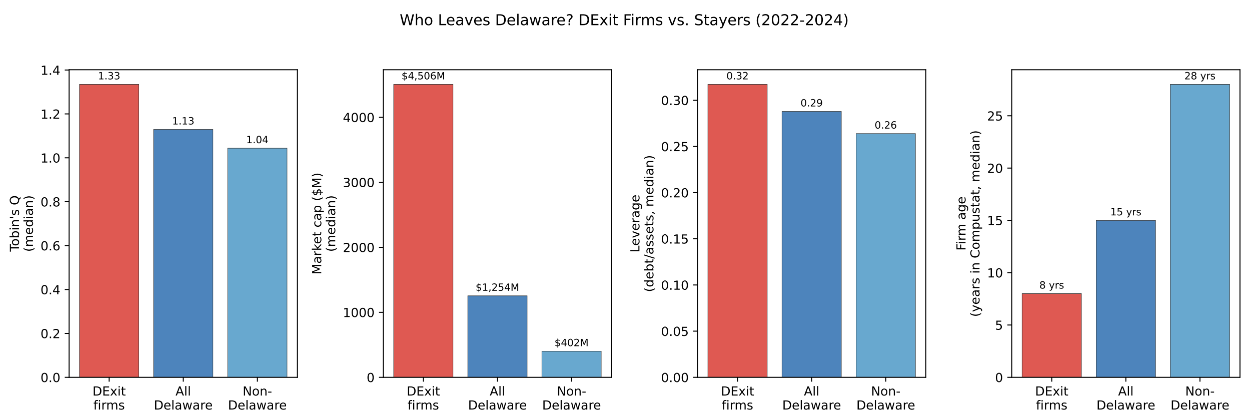


Figure 12: DExit Proposal Announcement Returns. The figure plots equal-weighted mean cumulative abnormal returns (CARs) across all 18 DExit firms in a ±20 trading day window around each reincorporation proposal announcement, rebaselined to zero at $t = -1$. Abnormal returns are computed as $\mathrm{AR}_{i,d} = \mathrm{RET}_{i,d} - \overline{\mathrm{RET}}_{\mathrm{SIC2}(i),d}$, where the benchmark is the equal-weighted SIC2-mean daily return among CRSP-covered firms. The shaded band is ±1.96 cross-firm standard errors. Daily returns come from CRSP and span the proposal dates of the DExit cohort.

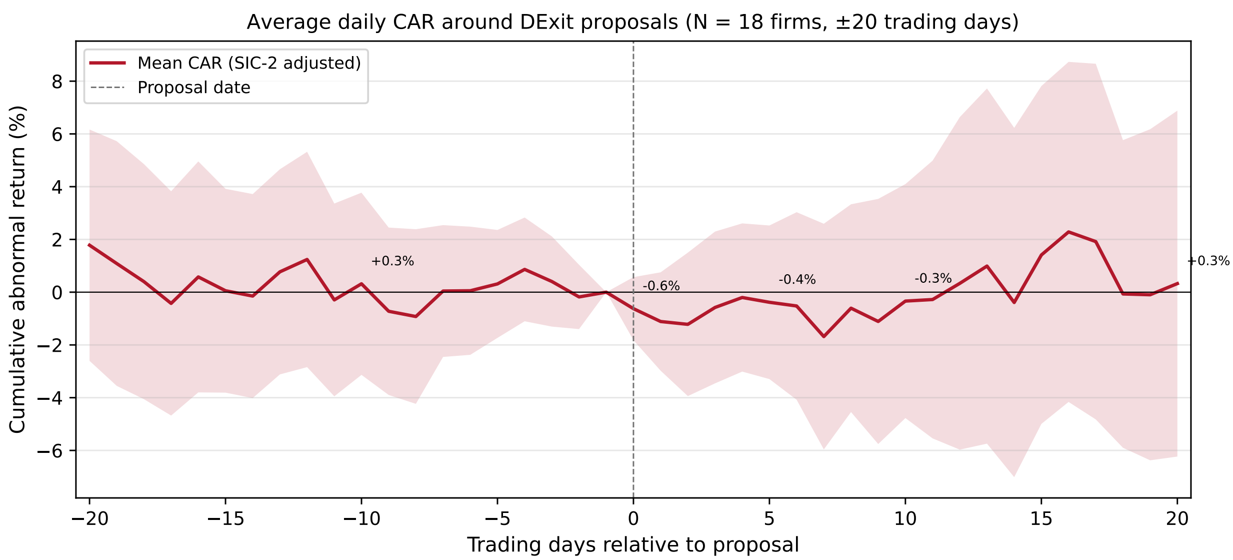
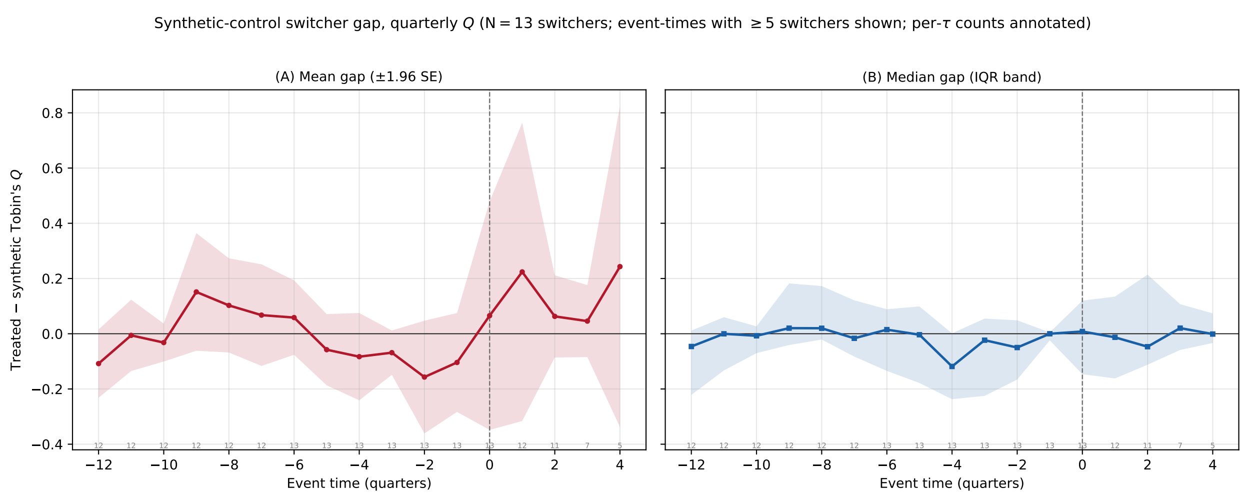


Figure 13: Synthetic Control Estimates: Leaving Delaware. For each completed DExit reincorporating firm a synthetic control is built with `pysyncon` from a donor pool of Delaware-incorporated stayers in the same two-digit SIC, choosing donor weights to match the reincorporating firm on log sales, R&D/assets, ROA, and pre-proposal Tobin's q—both the pre-window average and the last pre-proposal quarter—over up to twelve pre-proposal quarters. The donor pool is restricted to stayers with data for every quarter the reincorporating firm has and screened to the forty closest in pre-window average q. Panel (A) plots the mean treated-minus-synthetic q gap across reincorporating firms with a ± 1.96 SE band; Panel (B) plots the median with an interquartile band. $\tau = 0$ is the proposal quarter. Both panels restrict to reincorporating firms whose pre-fit RMSPE is at most twice the median; the aggregate is shown only for event-times with at least five contributing firms, with per-τ counts annotated. Per-firm fits, covariate balance, and donor portfolio weights are in Appendix B. Firm characteristics come from Compustat quarterly.



A Appendix

Figure A.A.1: SOX Enactment Episode: Median Regression Robustness. Each point plots the Delaware coefficient (percentage points) from the cross-sectional median regression $\text{Median}[\text{CAAR}_i(t)] = \hat{\beta}_t \, \text{Delaware}_i + \hat{\gamma}' X_i + \delta_{\text{SIC2}}$, estimated separately for each trading day t over the same window and baseline as Figure 8, where X_i collects log sales, R&D/assets, current and lagged ROA and δ_{SIC2} are two-digit SIC fixed effects. Standard errors are from the QuantReg sandwich estimator (Hall–Sheather bandwidth). The amber band marks the WorldCom–Xerox–SEC cascade; dashed lines mark the WorldCom disclosure (June 25) and the signing (July 30). Dot-com firms are excluded.

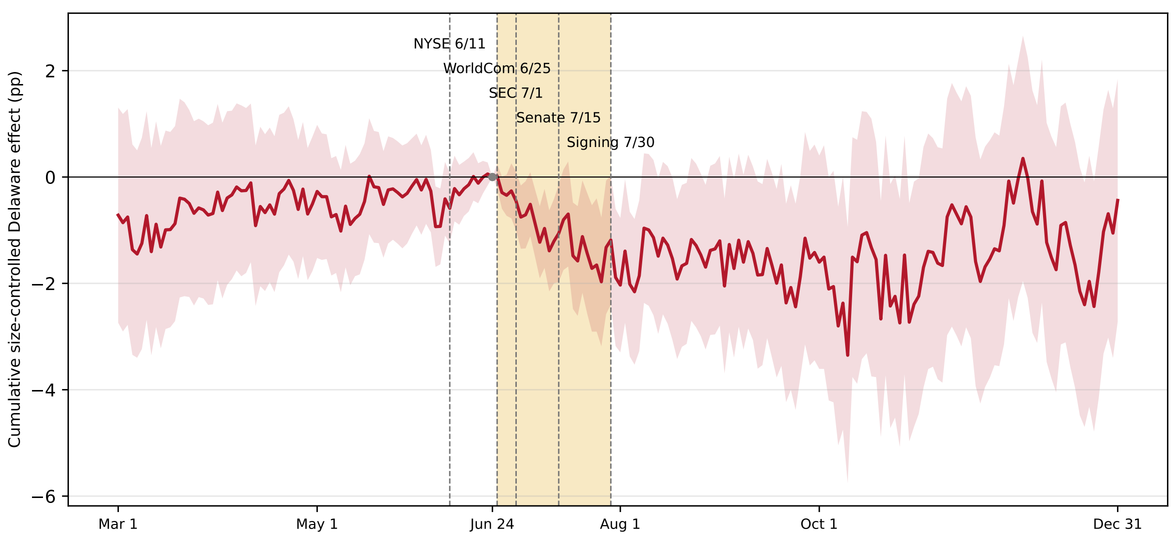


Figure A.A.2: SOX Enactment Episode: Winsorized-Returns Robustness. The figure plots $\hat{\beta}_t$ from $\text{CAAR}_i(t) = \hat{\beta}_t \, \text{Delaware}_i + \hat{\gamma}' X_i + \delta_{\text{SIC2}} + \varepsilon_i$, estimated separately for each trading day t over the same window and baseline as Figure 8, except that $\text{CAAR}_i(t)$ is winsorized at the 5th and 95th percentiles of the cross-section before fitting. X_i collects log sales, R&D/assets, current and lagged ROA. The amber band marks the WorldCom–Xerox–SEC cascade; dashed lines mark the WorldCom disclosure (June 25) and the signing (July 30). Dot-com firms are excluded. Standard errors are White (1980) robust.

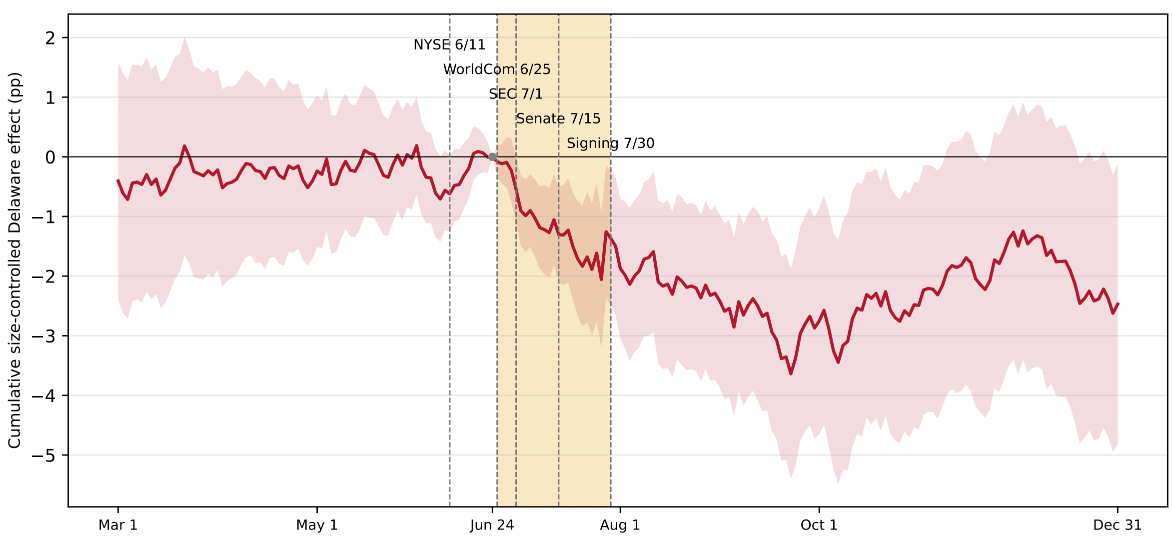
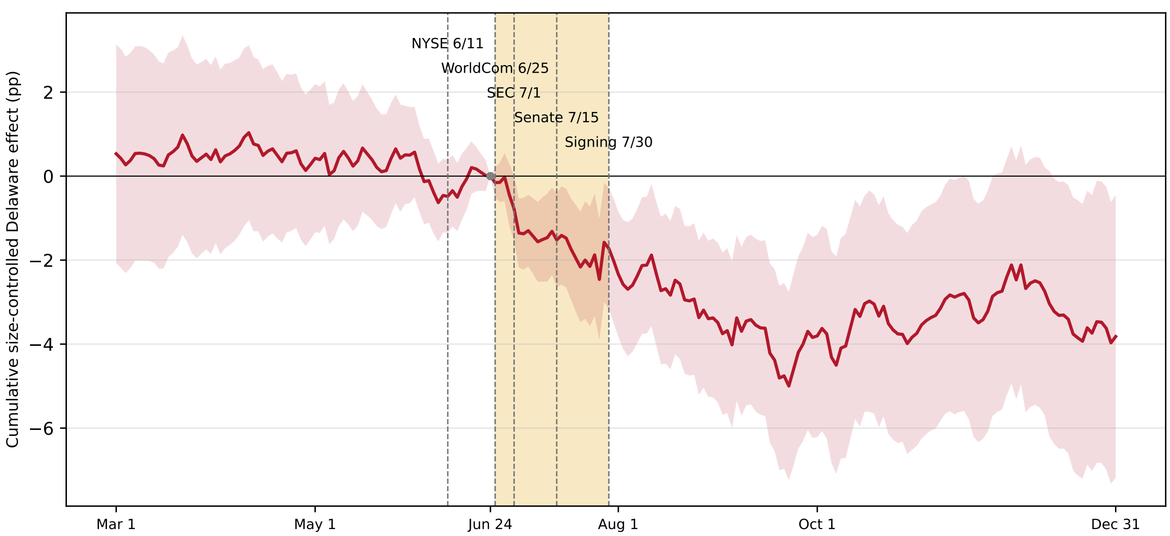


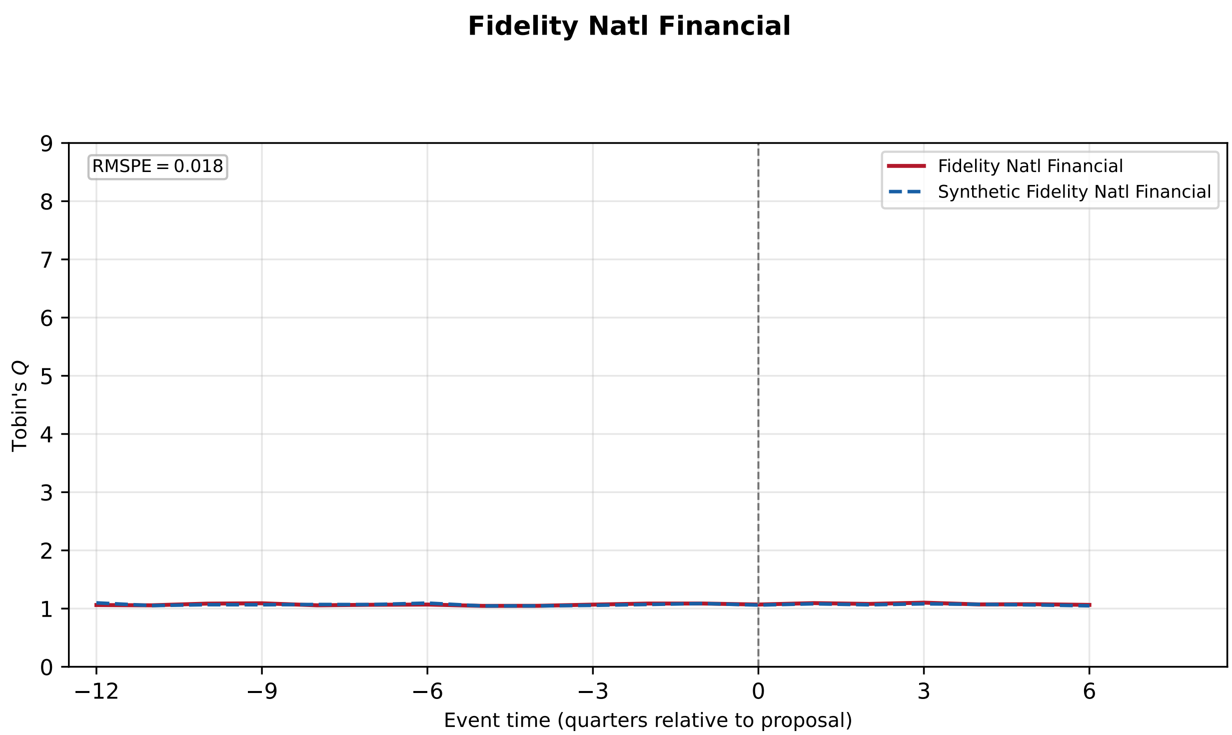
Figure A.A.3: SOX Enactment Episode: Robustness to Dot-com Inclusion. Replicates Figure 8 on the full sample including technology and internet firms (dot-com firms as defined in Section 3). The Delaware coefficient path and the timing of the break at WorldCom are qualitatively unchanged, confirming that the main result is not driven by the exclusion of dot-com firms.



B Synthetic-control detail: per-switcher fits

This appendix summarizes the synthetic control procedure for each of the 13 firms underlying Figure 13. Only the 13 firms with a pre-proposal root mean squared prediction error (RMSPE) below 0.70 are shown. The reincorporating firms are ordered from lowest to highest RMSPE. The five remaining firms had poor pre-fit RMSPE and are excluded from both the aggregate figure and this appendix. For each included firm the exhibit shows the firm's quarterly Tobin's q against its synthetic control, the covariate balance of the match (treated vs. synthetic predictor means), and the donor portfolio weights.

Figure A.B.1: Fidelity Natl Financial. The donor pool consists of Delaware-incorporated stayers in the same two-digit SIC with data for every quarter the reincorporating firm has. Matching is on log sales, R&D/assets, ROA, the pre-window average q, and the q in the final pre-proposal quarter, over 12 pre-proposal quarters (7 post-quarters); the pool contains 40 eligible donors (SIC2 match). The top panel shows Fidelity Natl Financial (solid line) against its synthetic control (dashed line) in event time, with pre-fit RMSPE reported in the top-left corner. The panels below report covariate balance and the donor portfolio weights.



Covariate balance

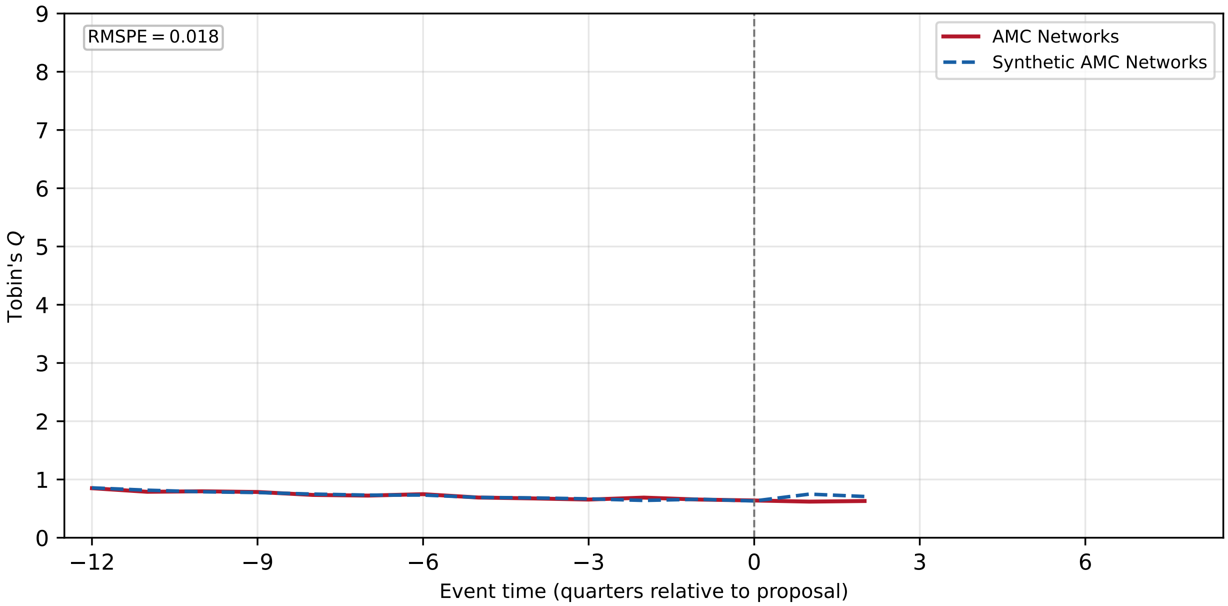
Covariate	Treated	Synthetic
Q (pre-mean)	1.069	1.069
Q (last pre)	1.087	1.087
log_sale	8.072	8.073
rd_at	0.000	0.000
roa	0.007	0.007

Donor portfolio

Donor company	Weight
Cigna Group (The)	9.4%
Centene Corp	8.3%
Humana Inc	8.2%
Metlife Inc	5.4%
Allstate Corp	5.1%
Hartford Insurance Group I	4.2%
Berkley (W R) Corp	3.9%
Genworth Financial Inc	3.1%
Unum Group	3.0%
Loews Corp	2.8%

Figure A.B.2: AMC Networks. The donor pool consists of Delaware-incorporated stayers in the same two-digit SIC with data for every quarter the reincorporating firm has. Matching is on log sales, R&D/assets, ROA, the pre-window average q, and the q in the final pre-proposal quarter, over 12 pre-proposal quarters (3 post-quarters); the pool contains 27 eligible donors (SIC2 match). The top panel shows AMC Networks (solid line) against its synthetic control (dashed line) in event time, with pre-fit RMSPE reported in the top-left corner. The panels below report covariate balance and the donor portfolio weights.

AMC Networks



Covariate balance

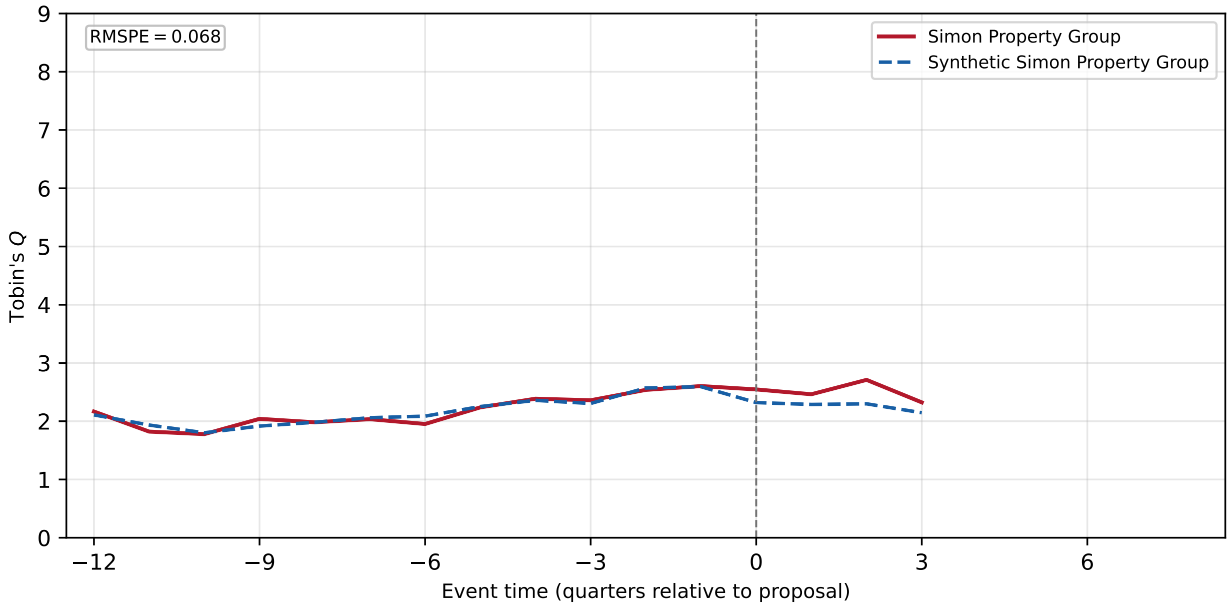
Covariate	Treated	Synthetic
Q (pre-mean)	0.733	0.733
Q (last pre)	0.655	0.661
log_sale	6.501	6.502
rd_at	0.000	0.000
roa	0.022	0.013

Donor portfolio

Donor company	Weight
Paramount Skydance Corp	33.1%
Salem Media Group Inc	29.5%
Tegna Inc	22.5%
Urban One Inc	8.4%
Cable One Inc	3.4%
Sirius Xm Holdings Inc	3.0%

Figure A.B.3: Simon Property Group. The donor pool consists of Delaware-incorporated stayers in the same two-digit SIC with data for every quarter the reincorporating firm has. Matching is on log sales, R&D/assets, ROA, the pre-window average q, and the q in the final pre-proposal quarter, over 12 pre-proposal quarters (4 post-quarters); the pool contains 40 eligible donors (SIC2 match). The top panel shows Simon Property Group (solid line) against its synthetic control (dashed line) in event time, with pre-fit RMSPE reported in the top-left corner. The panels below report covariate balance and the donor portfolio weights.

Simon Property Group



Covariate balance

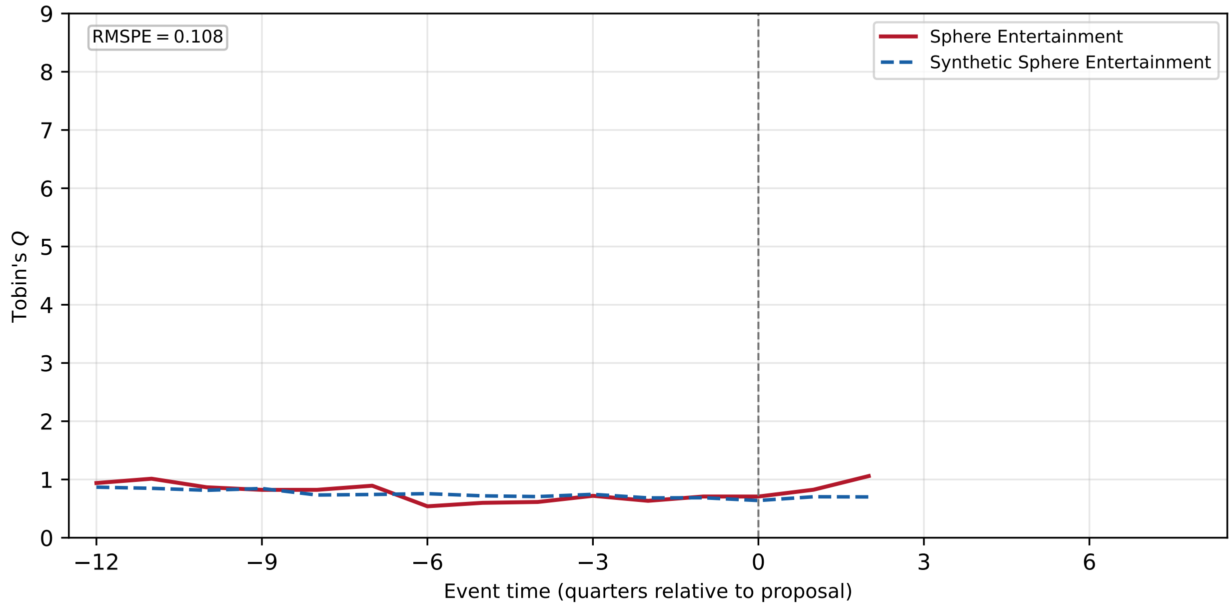
Covariate	Treated	Synthetic
Q (pre-mean)	2.159	2.164
Q (last pre)	2.604	2.593
log_sale	7.319	6.789
rd_at	0.000	0.000
roa	0.024	0.024

Donor portfolio

Donor company	Weight
Equinix Inc	39.4%
Iron Mountain Inc	35.4%
Natural Resource Partners	20.9%
American Tower Corp	4.3%

Figure A.B.4: Sphere Entertainment. The donor pool consists of Delaware-incorporated stayers in the same two-digit SIC with data for every quarter the reincorporating firm has. Matching is on log sales, R&D/assets, ROA, the pre-window average q, and the q in the final pre-proposal quarter, over 12 pre-proposal quarters (3 post-quarters); the pool contains 27 eligible donors (SIC2 match). The top panel shows Sphere Entertainment (solid line) against its synthetic control (dashed line) in event time, with pre-fit RMSPE reported in the top-left corner. The panels below report covariate balance and the donor portfolio weights.

Sphere Entertainment



Covariate balance

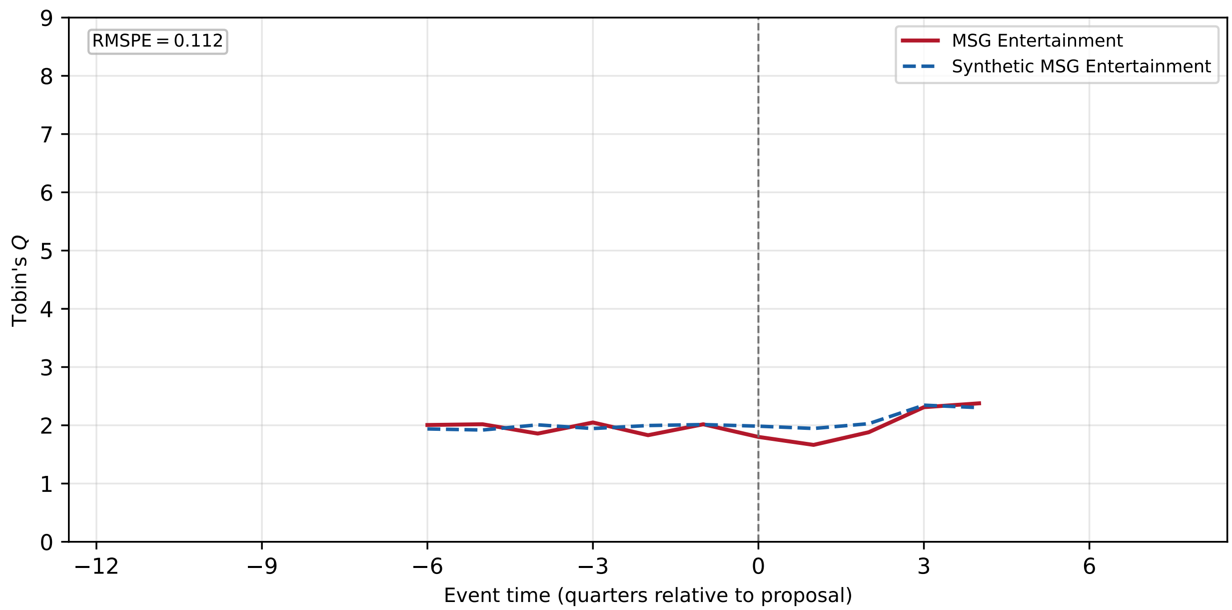
Covariate	Treated	Synthetic
Q (pre-mean)	0.764	0.763
Q (last pre)	0.708	0.687
log_sale	5.485	5.481
rd_at	0.000	0.000
roa	-0.009	0.003

Donor portfolio

Donor company	Weight
Salem Media Group Inc	54.1%
Paramount Skydance Corp	14.3%
Warner Bros Discovery Inc	7.8%
Urban One Inc	6.6%
Cogent Communications Hl	4.8%
Cable One Inc	3.7%
Atn International Inc	3.3%
Iheartmedia Inc	3.1%
Globalstar Inc	1.5%

Figure A.B.5: MSG Entertainment. The donor pool consists of Delaware-incorporated stayers in the same one-digit SIC (the donor pool was expanded from the two-digit SIC because that fit was poor) with data for every quarter the reincorporating firm has. Matching is on log sales, R&D/assets, ROA, the pre-window average q, and the q in the final pre-proposal quarter, over 6 pre-proposal quarters (5 post-quarters); the pool contains 20 eligible donors (SIC1 match). The top panel shows MSG Entertainment (solid line) against its synthetic control (dashed line) in event time, with pre-fit RMSPE reported in the top-left corner. The panels below report covariate balance and the donor portfolio weights.

MSG Entertainment



Covariate balance

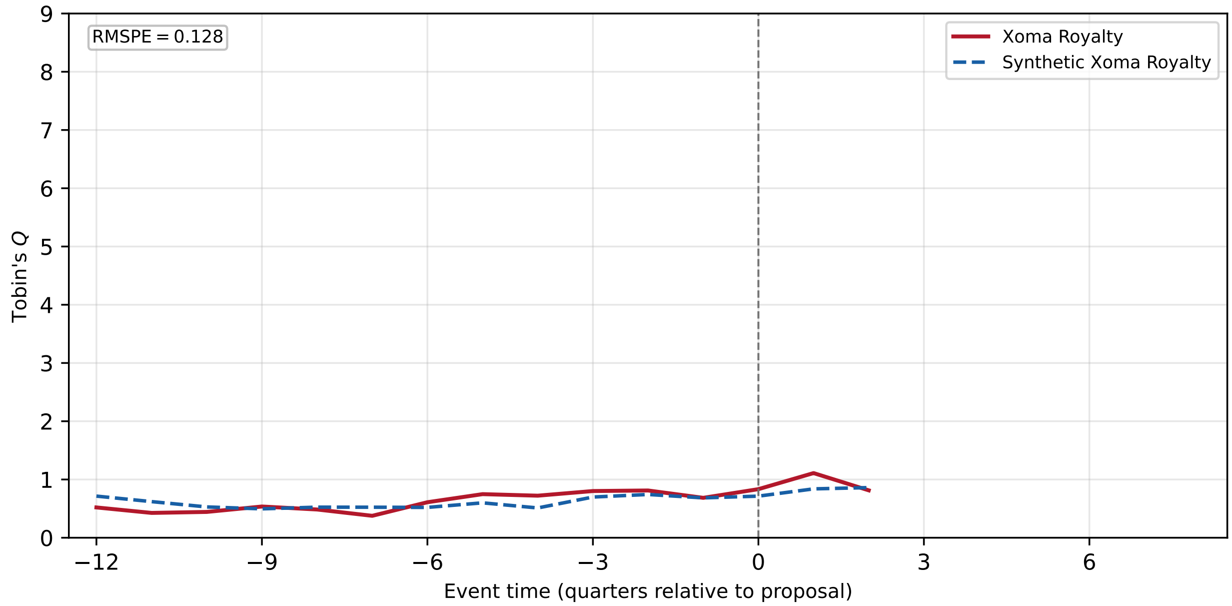
Covariate	Treated	Synthetic
Q (pre-mean)	1.963	1.970
Q (last pre)	2.018	2.013
log_sale	5.257	5.254
rd_at	0.000	0.000
roa	0.011	0.011

Donor portfolio

Donor company	Weight
Vail Resorts Inc	24.7%
Broadridge Financial Solut	23.2%
Intergroup Corp	22.2%
Zedge Inc	13.6%
Caci Intl Inc -Cl A	13.0%
Automatic Data Processing	2.2%
Treasure Global Inc	1.1%

Figure A.B.6: Xoma Royalty. The donor pool consists of Delaware-incorporated stayers in the same two-digit SIC with data for every quarter the reincorporating firm has. Matching is on log sales, R&D/assets, ROA, the pre-window average q, and the q in the final pre-proposal quarter, over 12 pre-proposal quarters (3 post-quarters); the pool contains 40 eligible donors (SIC2 match). The top panel shows Xoma Royalty (solid line) against its synthetic control (dashed line) in event time, with pre-fit RMSPE reported in the top-left corner. The panels below report covariate balance and the donor portfolio weights.

Xoma Royalty



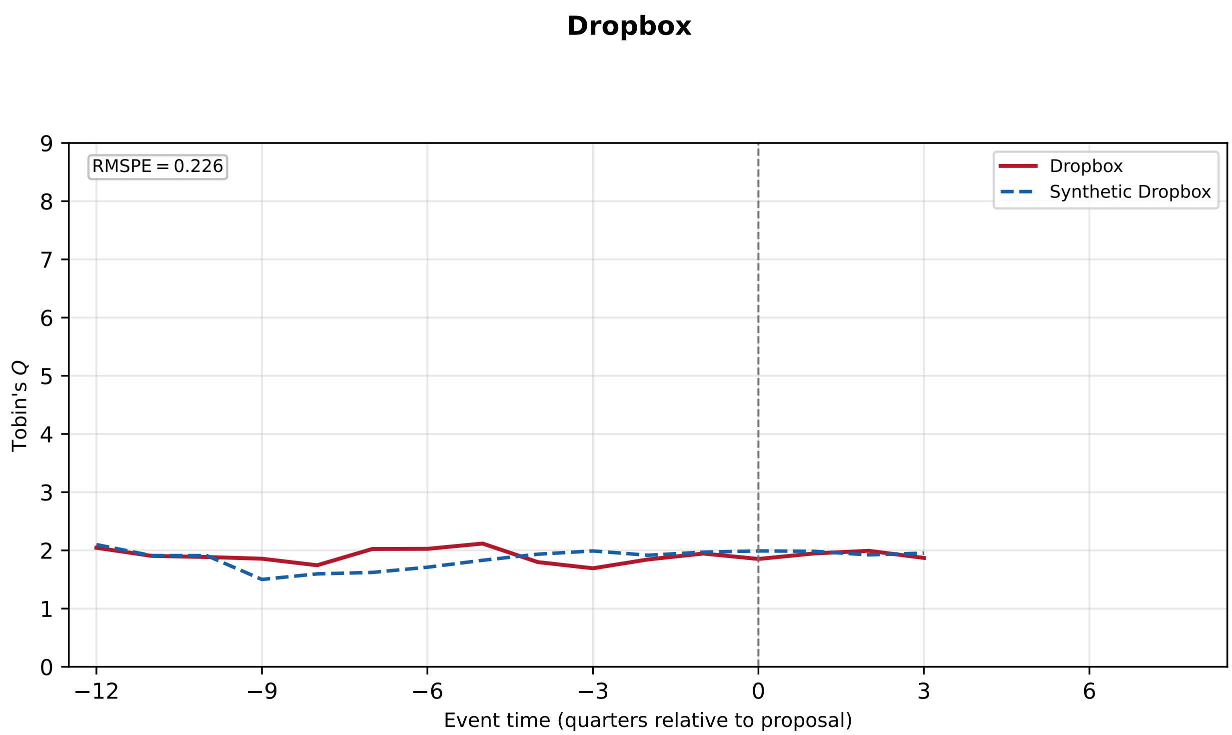
Covariate balance

Covariate	Treated	Synthetic
Q (pre-mean)	0.597	0.597
Q (last pre)	0.685	0.684
log_sale	0.783	0.787
rd_at	0.002	0.043
roa	-0.035	-0.047

Donor portfolio

Donor company	Weight
Vaxart Inc	11.2%
Natural Alternatives	11.2%
Gevo Inc	10.5%
Corvus Pharmaceuticals Inc	10.2%
Organogenesis Holdings Inc	10.1%
Orasure Technologies Inc	9.8%
Medicinova Inc	9.7%
Viatris Inc	8.5%
Cardiff Oncology Inc	6.5%
Integrated Biopharma Inc	6.1%

Figure A.B.7: Dropbox. The donor pool consists of Delaware-incorporated stayers in the same two-digit SIC with data for every quarter the reincorporating firm has. Matching is on log sales, R&D/assets, ROA, the pre-window average q, and the q in the final pre-proposal quarter, over 12 pre-proposal quarters (4 post-quarters); the pool contains 40 eligible donors (SIC2 match). The top panel shows Dropbox (solid line) against its synthetic control (dashed line) in event time, with pre-fit RMSPE reported in the top-left corner. The panels below report covariate balance and the donor portfolio weights.



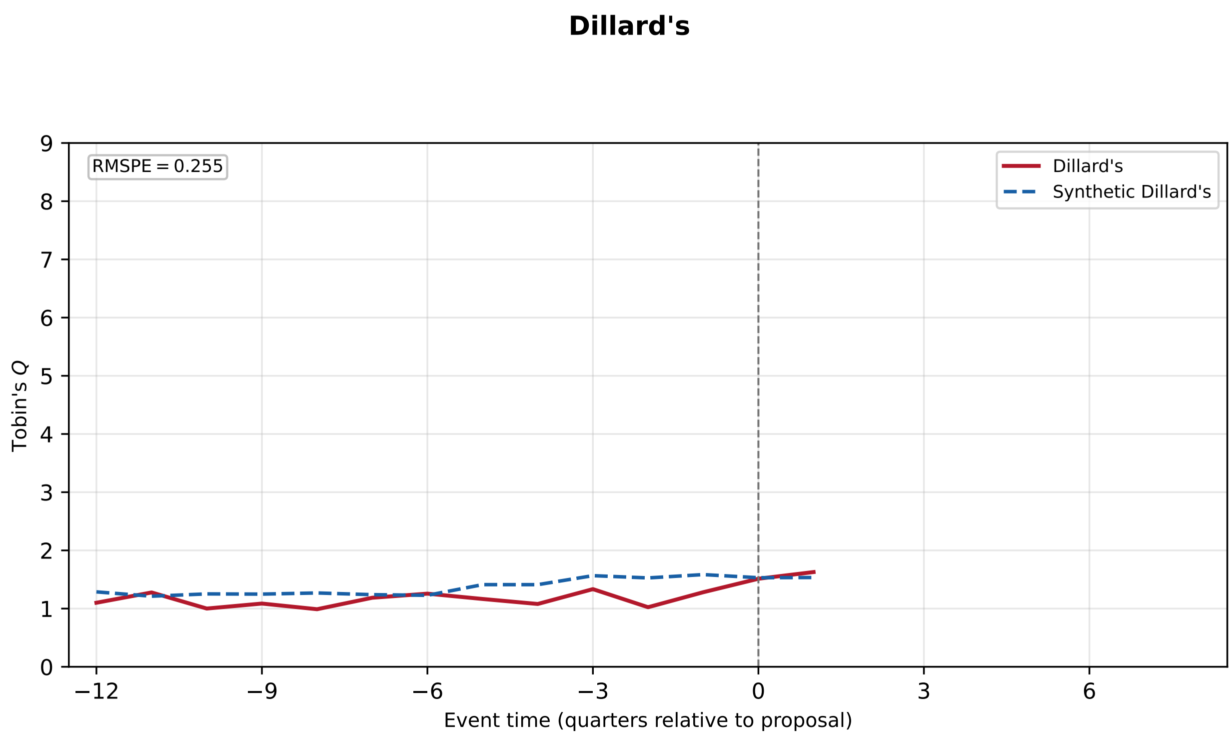
Covariate balance

Covariate	Treated	Synthetic
Q (pre-mean)	1.907	1.833
Q (last pre)	1.946	1.970
log_sale	6.420	5.623
rd_at	0.079	0.047
roa	0.040	0.002

Donor portfolio

Donor company	Weight
Alarm.Com Holdings Inc	69.7%
Nutanix Inc	30.3%

Figure A.B.8: Dillard's. The donor pool consists of Delaware-incorporated stayers in the same two-digit SIC with data for every quarter the reincorporating firm has. Matching is on log sales, R&D/assets, ROA, the pre-window average q, and the q in the final pre-proposal quarter, over 12 pre-proposal quarters (2 post-quarters); the pool contains 5 eligible donors (SIC2 match). The top panel shows Dillard's (solid line) against its synthetic control (dashed line) in event time, with pre-fit RMSPE reported in the top-left corner. The panels below report covariate balance and the donor portfolio weights.



Covariate balance

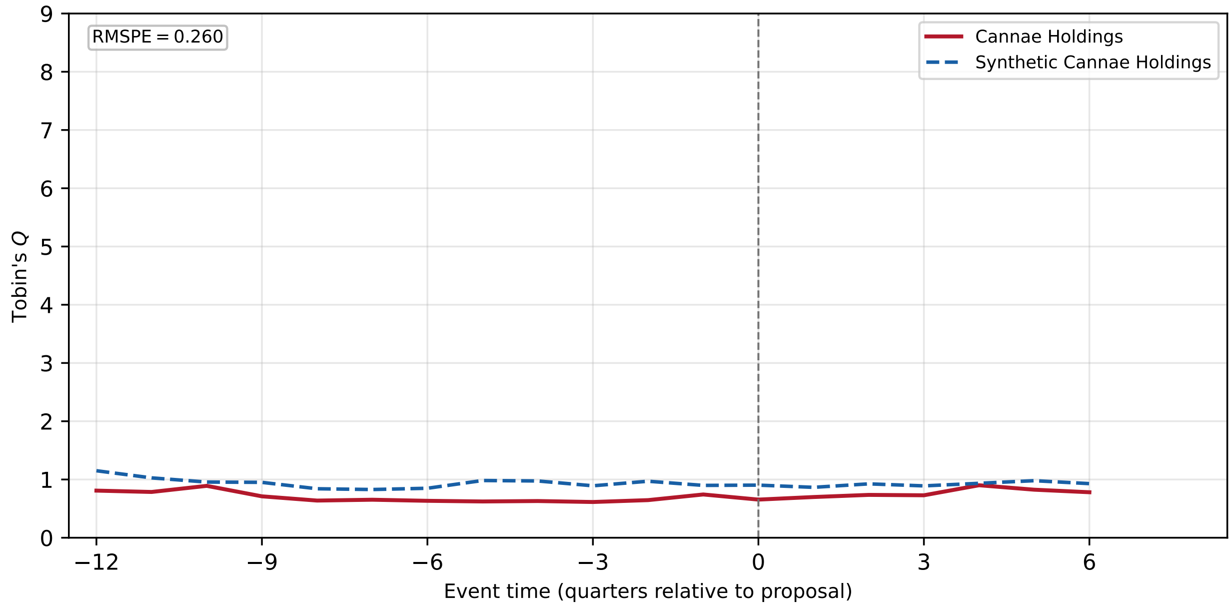
Covariate	Treated	Synthetic
Q (pre-mean)	1.148	1.353
Q (last pre)	1.281	1.584
log_sale	7.422	8.512
rd_at	0.000	0.000
roa	0.058	0.024

Donor portfolio

Donor company	Weight
Pricesmart Inc	20.0%
Bjs Whsl Club Hldgs Inc	20.0%
Walmart Inc	20.0%
Macy'S Inc	20.0%
Ollie'S Bargain Outlet Hld	20.0%

Figure A.B.9: Cannae Holdings. The donor pool consists of Delaware-incorporated stayers in the same two-digit SIC with data for every quarter the reincorporating firm has. Matching is on log sales, R&D/assets, ROA, the pre-window average q, and the q in the final pre-proposal quarter, over 12 pre-proposal quarters (7 post-quarters); the pool contains 19 eligible donors (SIC2 match). The top panel shows Cannae Holdings (solid line) against its synthetic control (dashed line) in event time, with pre-fit RMSPE reported in the top-left corner. The panels below report covariate balance and the donor portfolio weights.

Cannae Holdings



Covariate balance

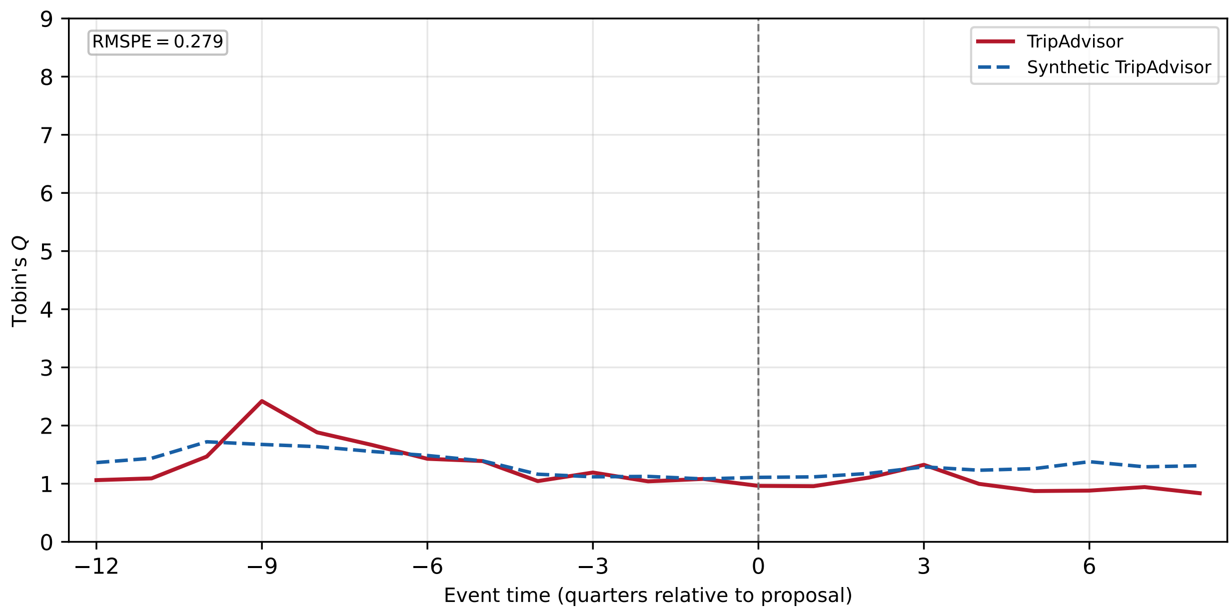
Covariate	Treated	Synthetic
Q (pre-mean)	0.698	0.943
Q (last pre)	0.743	0.899
log_sale	5.058	5.745
rd_at	0.000	0.000
roa	-0.010	-0.010

Donor portfolio

Donor company	Weight
Red Robin Gourmet Burgers	100.0%

Figure A.B.10: TripAdvisor. The donor pool consists of Delaware-incorporated stayers in the same two-digit SIC with data for every quarter the reincorporating firm has. Matching is on log sales, R&D/assets, ROA, the pre-window average q, and the q in the final pre-proposal quarter, over 12 pre-proposal quarters (9 post-quarters); the pool contains 40 eligible donors (SIC2 match). The top panel shows TripAdvisor (solid line) against its synthetic control (dashed line) in event time, with pre-fit RMSPE reported in the top-left corner. The panels below report covariate balance and the donor portfolio weights.

TripAdvisor



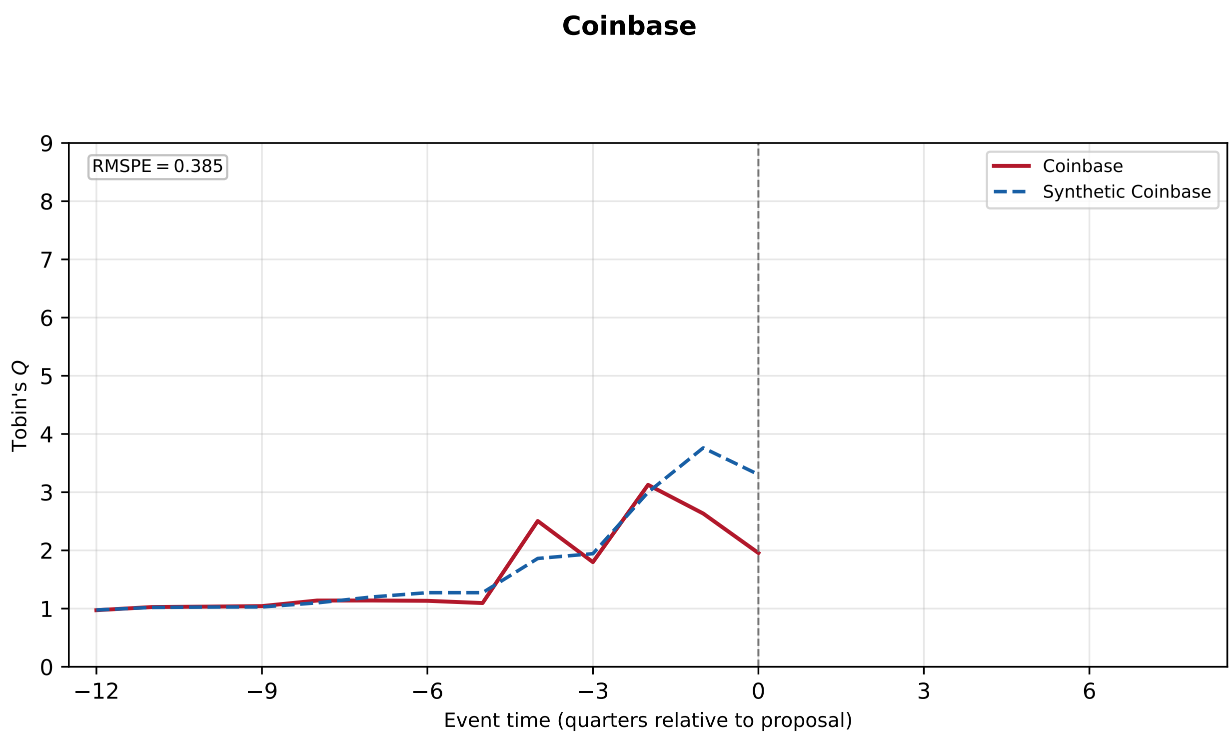
Covariate balance

Covariate	Treated	Synthetic
Q (pre-mean)	1.397	1.396
Q (last pre)	1.082	1.082
log_sale	5.403	5.404
rd_at	0.000	0.000
roa	-0.013	-0.013

Donor portfolio

Donor company	Weight
Realreal Inc (The)	17.7%
Repay Holdings Corp	17.6%
Sabre Corp	10.0%
Asgn Inc	9.5%
Herc Holdings Inc	8.1%
Korn Ferry	7.7%
Arena Group Hldngs Inc (Th	4.8%
Parsons Corp	4.2%
System1 Inc	4.0%
United Rentals Inc	3.2%

Figure A.B.11: Coinbase. The donor pool consists of Delaware-incorporated stayers in the same two-digit SIC with data for every quarter the reincorporating firm has. Matching is on log sales, R&D/assets, ROA, the pre-window average q, and the q in the final pre-proposal quarter, over 12 pre-proposal quarters (1 post-quarters); the pool contains 40 eligible donors (SIC2 match). The top panel shows Coinbase (solid line) against its synthetic control (dashed line) in event time, with pre-fit RMSPE reported in the top-left corner. The panels below report covariate balance and the donor portfolio weights.



Covariate balance

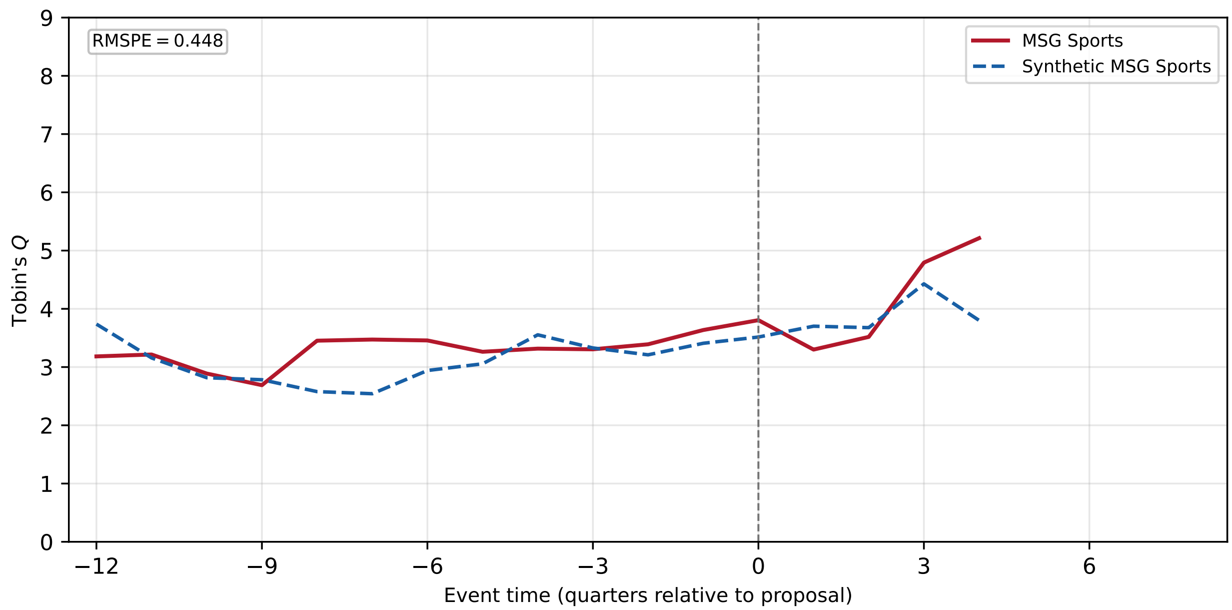
Covariate	Treated	Synthetic
Q (pre-mean)	1.554	1.622
Q (last pre)	2.633	3.762
log_sale	7.083	6.487
rd_at	0.007	0.003
roa	0.009	0.006

Donor portfolio

Donor company	Weight
Robinhood Markets Inc	100.0%

Figure A.B.12: MSG Sports. The donor pool consists of Delaware-incorporated stayers in the same one-digit SIC (the donor pool was expanded from the two-digit SIC because that fit was poor) with data for every quarter the reincorporating firm has. Matching is on log sales, R&D/assets, ROA, the pre-window average q, and the q in the final pre-proposal quarter, over 12 pre-proposal quarters (5 post-quarters); the pool contains 19 eligible donors (SIC1 match). The top panel shows MSG Sports (solid line) against its synthetic control (dashed line) in event time, with pre-fit RMSPE reported in the top-left corner. The panels below report covariate balance and the donor portfolio weights.

MSG Sports



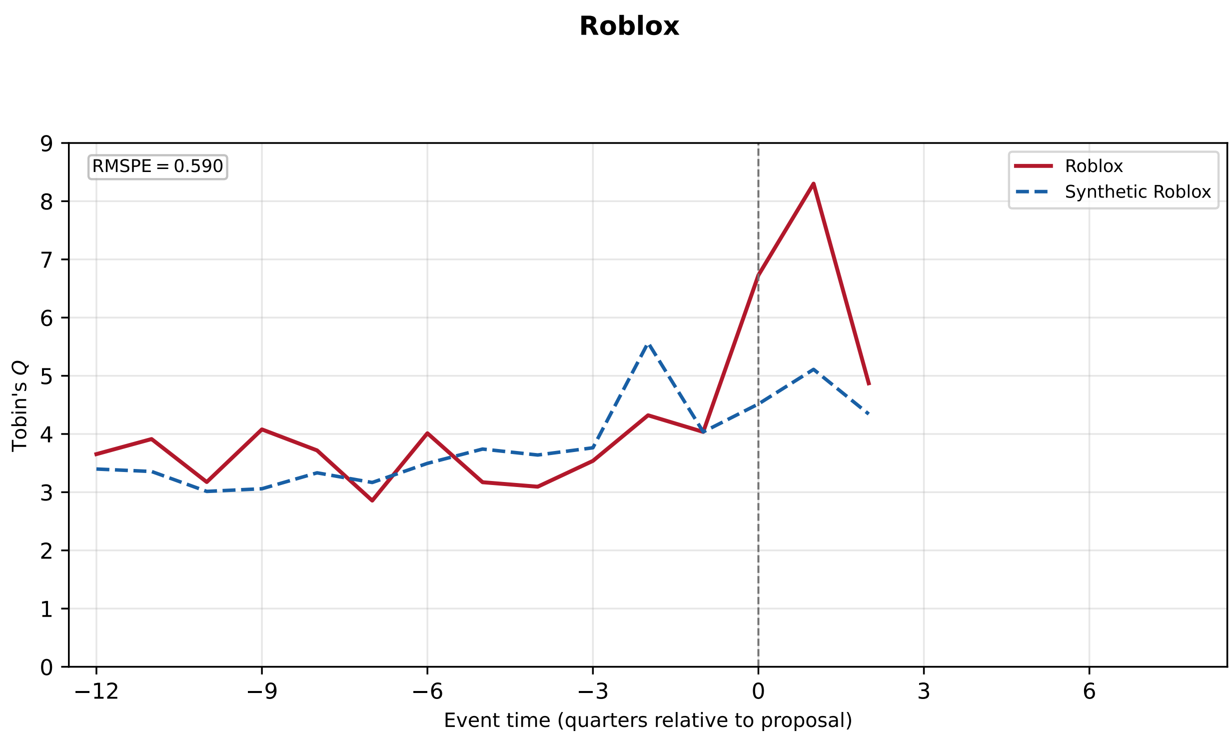
Covariate balance

Covariate	Treated	Synthetic
Q (pre-mean)	3.272	3.093
Q (last pre)	3.636	3.408
log_sale	5.126	7.216
rd_at	0.000	0.003
roa	0.021	0.025

Donor portfolio

Donor company	Weight
Broadridge Financial Solut	91.0%
Zscaler Inc	9.0%

Figure A.B.13: Roblox. The donor pool consists of Delaware-incorporated stayers in the same two-digit SIC with data for every quarter the reincorporating firm has. Matching is on log sales, R&D/assets, ROA, the pre-window average q, and the q in the final pre-proposal quarter, over 12 pre-proposal quarters (3 post-quarters); the pool contains 40 eligible donors (SIC2 match). The top panel shows Roblox (solid line) against its synthetic control (dashed line) in event time, with pre-fit RMSPE reported in the top-left corner. The panels below report covariate balance and the donor portfolio weights.



Covariate balance

Covariate	Treated	Synthetic
Q (pre-mean)	3.631	3.631
Q (last pre)	4.036	4.036
log_sale	6.611	6.612
rd_at	0.052	0.052
roa	-0.047	-0.012

Donor portfolio

Donor company	Weight
Soundhound Ai Inc	16.4%
Alphabet Inc	12.1%
Meta Platforms Inc	7.7%
Applovin Corp	7.3%
Veeva Systems Inc	7.3%
Sprout Social Inc	5.6%
Clearwater Ana Hol Inc	5.2%
Synopsys Inc	4.6%
Moody'S Corp	4.5%
Palo Alto Networks Inc	4.4%